Global Equity Strategy

Barclays Equity Factor Insights: May 2026

SIGNATURE

Risk-on is back in the US after a strong earnings season as war worries fade; we turn Positive on Growth & Momo, Neutral on Value & High-v-Low Vol, Negative on Quality. In EU, earnings benefited Value, which may gain from any broadening beyond Momo (now looking crowded). We maintain EU factor views.

The methodology behind US & EU factor basket construction can be viewed in Global Equity Strategy - Updating Barclays Equity Factor Baskets for Liquidity Weighting, 2 Apr 2025.

In the US, we are Positive on Growth, supported by a clear return of risk-on sentiment, strong Tech and AI earnings surprises, and supportive discretionary and systematic flows into large-cap Tech. **In Europe, we stay Neutral on Growth**, as earnings momentum is improving but renewed rates volatility weighs on long duration support.

In the US, we have downgraded Value to Neutral, as its defensive, anti-AI profile is less attractive in a risk-on market, elevated long-end rates offer only partial support, and weak consumer sentiment weighs on its consumer-heavy exposure. **In Europe, we are Positive on Value**, viewing it as the cleanest beneficiary of any broadening beyond Momentum, with strong earnings delivery (EPS growth lifted to 7%, highest since 1Q23), improving earnings momentum, and a structurally negative correlation to Momentum.

In the US, we remain Positive on Large-over-Small, as large caps continue to deliver superior earnings revisions, operating leverage, and margin dynamics, while small caps face higher leverage and are more exposed to multiple-driven reversals, given multiples expansion in semis, software and construction. **In Europe, we are Neutral on Small Caps**, given cooling macro momentum and restrictive ECB policy may cap near term rotation upside, even as valuations look attractive.

In the US, we have upgraded Momentum to Positive as the rally has proven resilient, earnings growth is the strongest across factors, valuations remain supportive (fwd PE at 30th %-ile vs last 10y), and seasonality into May–June is favorable. **In Europe, we stay Neutral on Momentum**: performance has been strong and AI-led, but the trade is increasingly crowded, arguing for managing exposure rather than adding.

U.S. Equity Strategy
Venu Krishna, CFA
+1 212 526 7328
venu.krishna@barclays.com
BCI, US

Riddhiman Dass
+1 212 526 0850
riddhiman.dass@barclays.com
BCI, US

Rex Feng
+ 1 212 526 6114
rex.feng@barclays.com
BCI, US

Tianqi Feng
+1 212 526 9179
tianqi.feng@barclays.com
BCI, US

European Equity Strategy
Emmanuel Cau, CFA
+44 (0)20 3134 0475
emmanuel.cau@barclays.com
Barclays, UK

Emmanuel Makonga
+44 (0)20 7773 2593
emmanuel.makonga@barclays.com
Barclays, UK

Magesh Kumar Chandrasekaran, CFA
+44 (0)20 3134 5983
magesh.kumarchandrasekaran@barclays.com
Barclays, UK

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In the US, we have downgraded Quality to Negative, as a risk-on rotation toward semiconductors, hardware, and speculative AI exposures has eroded its defensive appeal, while growth characteristics remain weak and valuations elevated. **In Europe, we remain Neutral on Quality**, reflecting a lack of near-term catalysts amid disruption from AI-led winners even as valuation support has improved risk-reward.

In the US, we have upgraded High-over-Low Volatility to Neutral following a sharp rebound supported by strong earnings and easing geopolitical concerns, although stretched valuations and mixed sector exposure cap upside. **In Europe, we are Negative on Low Volatility**, since relative valuations are still unattractive and the factor continues to screen poorly in a sticky inflation, higher rates environment.

In the US, we remain Neutral on Yield, as strong labor data and fewer expected Fed cuts weaken the bond proxy case, even as cheap valuations and light positioning limit downside risk. In Europe, Yield faces downside pressure, as the partial unwind of the conflict premium and further progress toward peace would mechanically weigh on energy-sensitive, high-yield exposures.

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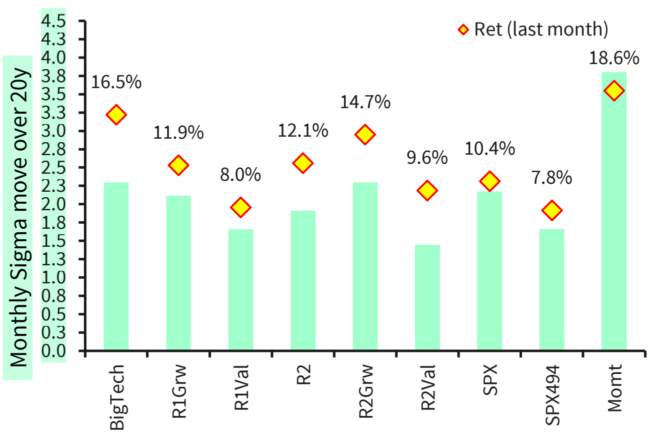
US factor analysis and views: May 2026

Equity market performance in April 2026:

- Risk assets posted an exceptional run in April, with the S&P 500 up more than 9% and Big Tech rallying by over 16%, as Growth outperformed Value across both large and small caps.
- The rally was supported by easing U.S.–Iran tensions, allowing equity sentiment to decouple from oil-related concerns despite ongoing geopolitical uncertainty.
- 1Q26 earnings have materially exceeded expectations, with strong Y/Y EPS growth driving elevated beat rates and outsized surprises across sectors. Within Big Tech, EPS surprises are tracking at +15.6% versus a long-term median of +7.2%, led primarily by Amazon; EPS growth of +35.8% Y/Y marks the fastest pace since 2Q24.
- Valuations have begun to re-rate again, with Big Tech's NTM P/E rebounding from ~23x earlier this month to ~26x, alongside upward revisions to Street FY26 EPS estimates (consensus now ~$334), driven mainly by Energy and, to a lesser extent, TMT.
- Amid this constructive backdrop, Barclays highlights that the resilience in US equities thus far can at least partly be explained by the energy shock being closer to five weeks old than eight weeks (see Living off the insurance, 4-May-26) due to sizeable inventories at the beginning of the conflict in Iran, but the expectation of only one Fed cut (penciled in for March 2027) combined with elevated energy prices for the rest of the year and a shrinking buffer in crude and refined product inventories, poses growing medium-term headwinds for risk assets.

FIGURE 1. **Risk-on was back in full force in April, with Growth outpacing Value across cap sizes, and Momo surging**



Data as of 04/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 2. **Energy has declined by 9.9% thus far in 2Q26 despite material earnings growth; TMT is leading all other sectors this quarter**

	24Q2	24Q3	24Q4	25Q1	25Q2	25Q3	25Q4	26Q1	26Q2
SPX	**3.9%**	**5.5%**	**2.1%**	**-4.6%**	**10.6%**	**7.8%**	**1.7%**	**-4.6%**	**13.3%**
COMM	9.1%	1.4%	8.6%	-6.4%	18.2%	11.8%	6.4%	-7.1%	20.6%
COND	0.4%	7.6%	14.1%	-14.0%	11.3%	9.4%	-0.1%	-9.3%	14.3%
CONS	0.7%	8.3%	-3.8%	4.6%	0.5%	-2.9%	-0.3%	7.0%	2.6%
ENR	-3.2%	-3.1%	-3.1%	9.3%	-9.4%	5.1%	-0.4%	37.2%	-9.9%
FINL	-2.4%	10.2%	6.6%	3.1%	5.1%	2.9%	0.4%	-9.8%	3.6%
HLTH	-1.4%	5.7%	-10.7%	6.1%	-7.6%	3.3%	10.5%	-5.3%	-2.2%
INDU	-3.1%	11.1%	-2.7%	-0.5%	12.6%	4.5%	-0.6%	4.3%	7.1%
INFT	13.6%	1.4%	4.7%	-12.8%	23.5%	13.1%	0.9%	-9.3%	27.4%
MATR	-4.9%	9.1%	-12.8%	2.3%	2.6%	2.6%	-0.6%	9.3%	2.9%
RE	-2.8%	16.3%	-8.8%	2.7%	-1.0%	1.7%	-4.4%	1.9%	8.4%
UTIL	3.6%	18.5%	-6.2%	4.1%	3.5%	6.9%	-2.5%	7.5%	-2.7%

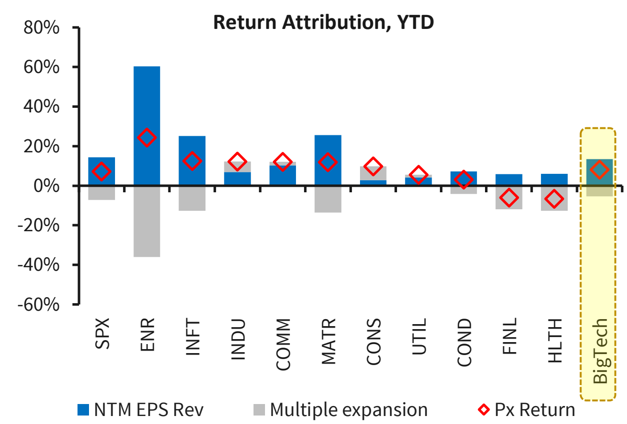
Data as of 05/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 3. Earnings growth is running ahead of sales growth, signaling improving operating leverage

26Q1	SPX	Mid	SML	BigTech	TechX	SPX w/o Tech	SPX494	R1 Value	R1 Growth
% reported	88%	85%	84%	86%	73%	90%	88%	84%	78%
EPS Surprise	18.0%	7.9%	7.1%	40.7%	17.8%	10.0%	11.0%	11.0%	20.0%
LT Median	5.2%	5.9%	3.6%	7.2%	5.1%	4.9%	4.9%	5.7%	4.7%
EPS Beats	87%	76%	69%	100%	98%	85%	87%	80%	81%
LT Median	76%	69%	65%	86%	88%	75%	76%	71%	75%
y/y EPS Growth	18.1%	13.9%	18.1%	27.7%	48.9%	9.4%	14.7%	12.3%	18.5%
LT Median	6.3%	7.8%	8.3%	9.0%	8.7%	5.5%	5.8%	5.8%	5.0%
Sales Surprise	2.1%	2.0%	2.1%	2.1%	3.8%	2.0%	2.1%	2.1%	0.9%
Sales Beats	79%	71%	67%	100%	90%	77%	78%	75%	77%
y/y Sales Growth	8.6%	4.0%	13.2%	25.6%	24.0%	4.9%	5.8%	3.2%	16.8%
LT Median	4.1%	6.9%	11.9%	14.6%	2.6%	3.8%	3.8%	2.7%	5.4%
Net Margins	14.4%	8.0%	5.6%	28.1%	24.1%	11.0%	12.3%	11.0%	18.4%
y/y Margins	1.2%	0.7%	0.2%	0.5%	4.0%	0.5%	1.0%	0.9%	0.3%

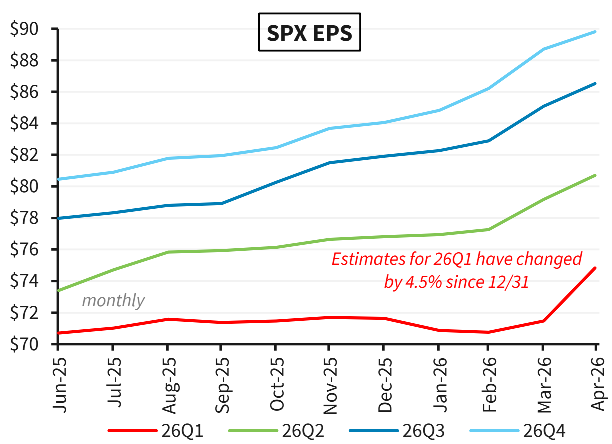
Data as of 05/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 4. Energy, Materials and TMT have seen returns driven by earnings growth, with valuations compressing



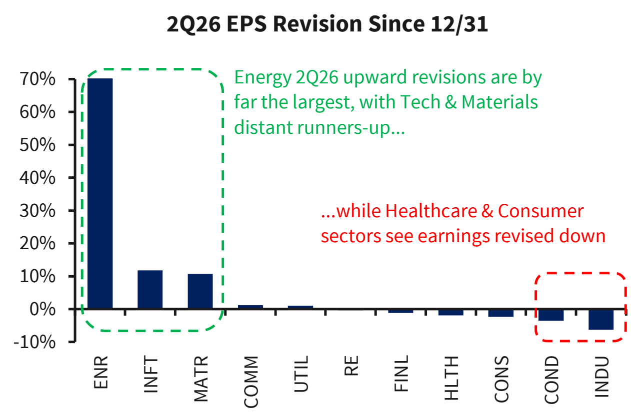
Data as of 05/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 5. Earnings for all four quarters have been revised up since 1Q26 season began



Data as of 04/29/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 6. Among sectors, Energy by far has seen the most dramatic upward revision, following by Tech and Materials



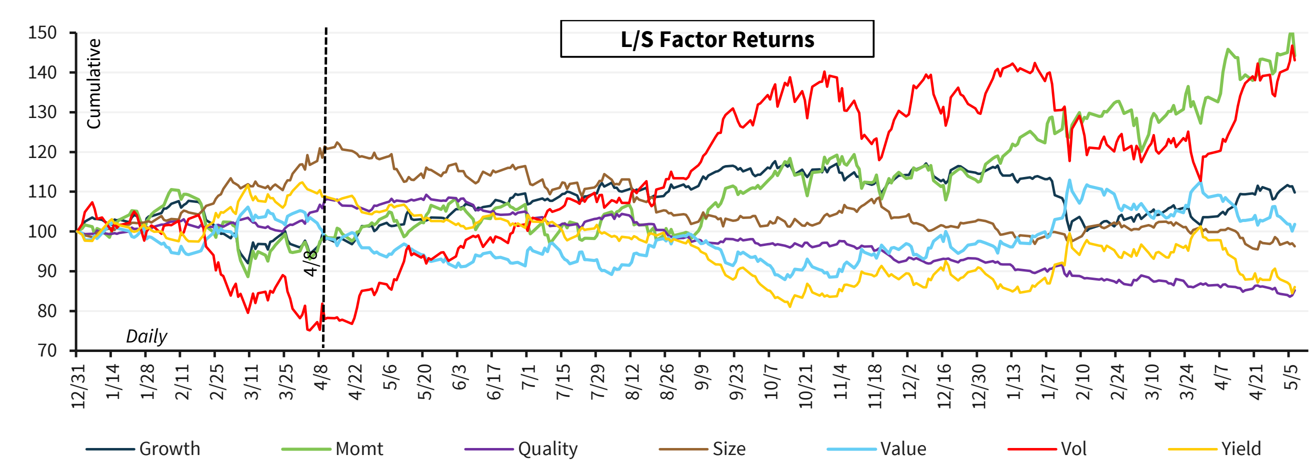
Data as of 04/29/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

US Factor Basket Performance in the Past Month

Our **all-cap liquidity-weighted** US Factor baskets (see Global Equity Strategy - Updating Barclays Equity Factor Baskets for Liquidity Weighting, 4/2/2025) attempt to capture factor premiums while controlling for stock and sector weights.

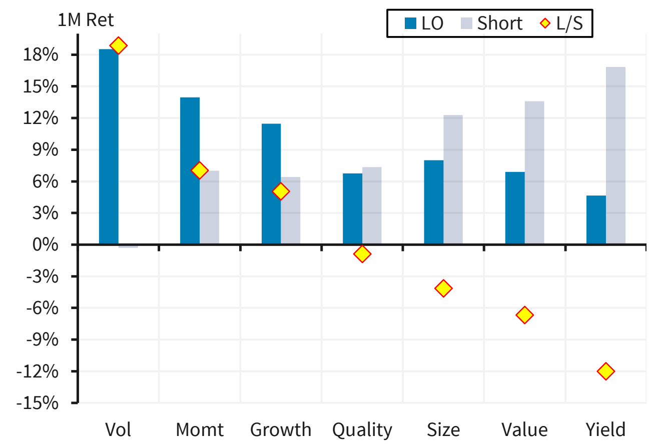
- **High over Low Volatility:** The standout performer over the past month, with the long/short pair up 18.9%, as risk-on sentiment returned following the easing of Iran-related energy concerns; performance was volatile during the height of the conflict but rebounded sharply as oil fears subsided.
- **Momentum:** Also among the strongest factors, gaining 7.0%, driven by renewed leadership from AI- and Tech-exposed names; after pronounced choppiness during the peak of geopolitical uncertainty, investors re-engaged aggressively as sentiment stabilized.
- **Value:** Sold off 6.7% in the past month, with weakness beginning in late March, coinciding with the recovery in Volatility and Momentum; consistent with its role as an “anti-AI” style, Value retraced following its strong run during the height of the Iran conflict.
- **Yield:** Declined 12.0%, mirroring Value’s underperformance, as income-oriented and defensive exposures fell out of favor amid the resurgence in Tech optimism and growth-oriented positioning.
- **Growth:** Rebounded by 5.1% in the past month, with the gain being fairly broad-based; that said, leadership came from communications/electrical equipment and semiconductor names as AI and hardware enthusiasm re-accelerated.
- **Size (Large over Small):** Fell by 4.1%, reflecting a sharp recovery in small caps since late March, even as mega-cap stocks also continued to grind higher.
- **Quality:** Stayed flat (down ~0.9%) in the past month, extending its lackluster performance following earlier gains during the Liberation Day crisis and offering little downside protection in the recent risk-on environment.

FIGURE 7. **After a few lackluster months, High-over-Low Volatility has seen a dramatic recovery, gaining over 26% since end of March; Quality continues its steady decline, and is now the worst performer YTD**



Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility. Data as of 05/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 8. Vol, Momo and Growth rallied in the past one month



Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility. Data as of 05/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 9. Momo's high correl with Vol has recently moderated

	2013 - 2019 LT corr.						
12 Month	GRW	MOM	QUAL	SIZE	VAL	VOL	YLD
GRW		0.51	0.08	0.01	-0.56	0.13	-0.57
MOM	0.06		0.39	0.35	-0.70	-0.36	-0.40
QUAL	0.40	0.40		0.57	-0.37	-0.55	0.23
SIZE	-0.05	0.32	0.33		-0.29	-0.79	0.33
VAL	-0.68	-0.61	-0.61	-0.42		0.21	0.65
VOL	0.80	0.36	0.22	-0.31	-0.64		-0.33
YLD	-0.67	-0.59	-0.20	0.10	0.78	-0.90	

Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility. Data as of 04/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

US Factor Discussion & Recommendations

We mainly use three criteria to formulate our factor views – relative fundamentals of our factor baskets vs. their own history, current macro events along with past event studies, and our market outlook ahead.

FIGURE 10. Current US Factor Recommendations - May 2026

Factor	Description	View	Rationale
Growth	High - low	▲ Positive	Risk-on is back as Tech/AI sentiment improved. 1Q26 earnings beat, led by TMT; Energy revisions add tailwind. Inflation expectations easing. Rates less friendly but relative backdrop still better than Value. Flows are supportive: long-only adding Tech, CTAs buying large-cap Tech.
Size	Large over Small	Positive	Small-cap fundamentals are still weak versus large: softer revisions, limited operating leverage, high debt. Valuation cheapness masks multiples expansion-driven rallies in key small-cap industries like semis, software and construction. Rates stay higher for longer, making financing costs a drag. As a caveat, small caps may benefit from trickle down of AI capex. Conviction remains highest in mega caps with hyperscaler-led earnings and margin strength.
Momentum	Long / Short trend	▲ Positive	Rally appears to stay intact for the near term as risk-on is back. Earnings justify move: NTM EPS growth >100% YTD, strongest across factors; forward vs trailing earnings at 93rd %-ile vs last 10 year history. Valuation supportive despite rally: forward PE at 30th %-ile vs 10 years. Earnings since end-2024 outpace price. Seasonality favorable in May–June.
Quality	High - low	▼ Negative	Downgrade to negative, since risk-on rotation back into semis, hardware, speculative AI plays has adverse implication for Quality as its defensive appeal fades. Sales and earnings growth historically weak versus other styles. Valuation still elevated despite price declines; PE ratio relative to US equities at large is at 65th %-ile vs past two years.
Value	Cheap - expensive	▼ *neutral*	Risk-on undercuts Value's defensive, anti-AI appeal, and easing inflation makes Value less attractive vs Growth. In recent history, Value has worked mainly in AI rotations and risk-off, neither present. High long-end rates offer limited support. Consumer sentiment remains stubbornly weak, which makes Value's consumer tilt a drag.
Volatility	High vol - low vol	▲ *neutral*	Sharp rebound (~31% from YTD trough) as risk-on returns, Iran energy fears fade, earnings strong. Valuation stretched: forward PE at 71st percentile. But fundamentals improved: ~90% NTM EPS growth YTD; earnings now catching up to price. Sector mix mixed—Tech/Industrials help, Healthcare headwind; Low Vol benefits from Utilities/Financials.
Yield	High - low	*neutral*	Growth and Momentum favored as risk-on dominates, making income generating strategies less attractive. Strong April payrolls (115k vs 65k), unemployment 4.3%; Fed cuts pushed out, with only one through 2027. This makes Yield's bond proxy appeal weaker. This is offset by valuation and positioning: forward PE at 15th percentile; least crowded style. Hence, no upside catalyst, but downside also limited.

View as of 05/11/2026. Note: Positive: We recommend increasing exposure to the factor. Neutral: We recommend maintaining exposure to the factor. Negative: We recommend decreasing exposure to the factor.
Source: Barclays Research

Turn Positive on Growth and Neutral on Value – Our factor stance stays tilted in favor of Value and Neutral on Growth for the following reasons:

- We upgrade Growth from Neutral to Positive as the market backdrop has turned more constructive, with risk appetite improving alongside a renewed sense of optimism around Tech and AI. Concerns around a broader Iran-related escalation have eased, allowing investors to refocus on corporate earnings, where Growth-oriented sectors have delivered encouraging signals.

- Early 1Q26 earnings results have come in meaningfully ahead of expectations, led by TMT, reinforcing confidence in secular growth narratives. In parallel, Energy has seen dramatic upward earnings revisions driven by elevated oil prices, as highlighted by our oil analyst, and Growth's structural tilt toward these sectors positions it well to benefit from this earnings momentum.

- From a macro perspective, inflation expectations have continued to ease, making the environment incrementally more benign for Growth relative to Value, even if the rates outlook remains less supportive than previously assumed. Fed cut expectations have been pared back, with Barclays economists now expecting only one cut through 2027YE, but easing inflation expectations still improve the relative backdrop for longer-duration Growth assets.

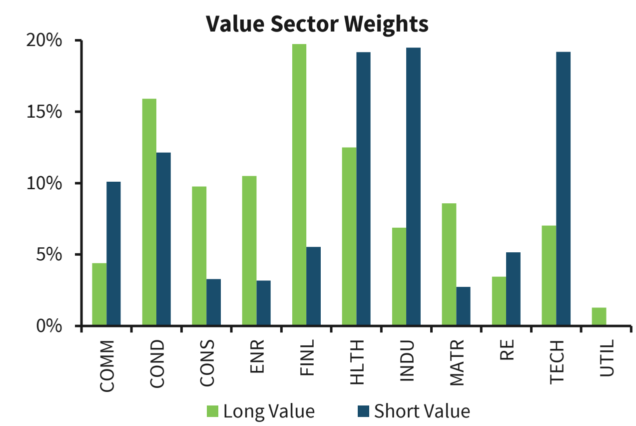
- Positioning dynamics also argue for a more favorable near-term setup for Growth. Long-only investors have been selectively adding exposure to Tech, while CTA signals continue to point toward incremental systematic buying of large-cap Tech stocks, creating a potential self-reinforcing tailwind for Growth-oriented styles.

- By contrast, we downgrade Value from Positive to Neutral. As we have noted previously, Value—along with Yield—has tended to behave as an “anti-AI” style, benefiting primarily during episodic rotations out of AI-linked exposures in risk-off environments. With markets firmly in risk-on mode, this defensive appeal has faded, and while elevated long-end rates—partly driven by US fiscal concerns—still offer some relative support to Value, this is no longer sufficient to sustain a positive stance. Moreover, consumer sentiment staying at subdued levels in recent months provide further headwind to Value, which is tilted toward consumer sectors. Taken together, we find sufficient reasons to justify a downgrade of our stance on this style to neutral.

FIGURE 11. Growth basket has a large tilt toward Tech & Energy and away from Staples & Real Estate

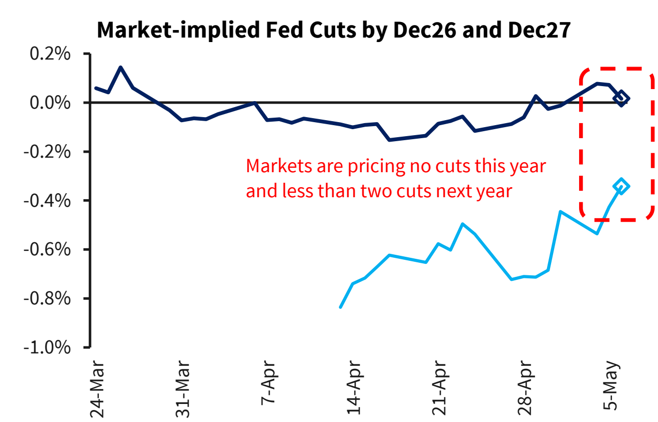
Data as of 04/30/2026
Source: LSEG Data & Analytics, Barclays Research

FIGURE 12. Value basket is tilted towards Financials & Materials and away from TMT



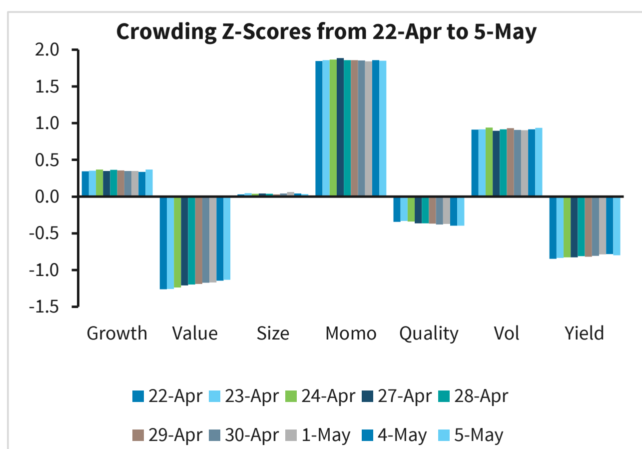
Data as of 04/30/2026
Source: LSEG Data & Analytics, Barclays Research

FIGURE 13. Rate cut expectations till 2026YE and 2027YE have been pared back



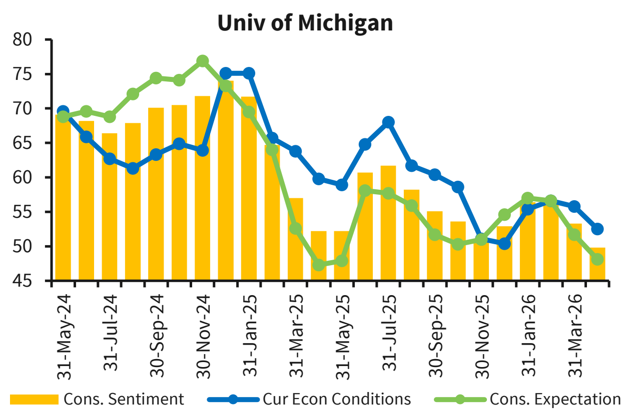
Data as of 05/06/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 14. Over the past two weeks, Growth's crowding level has been higher than Value but lower than Momo and Vol



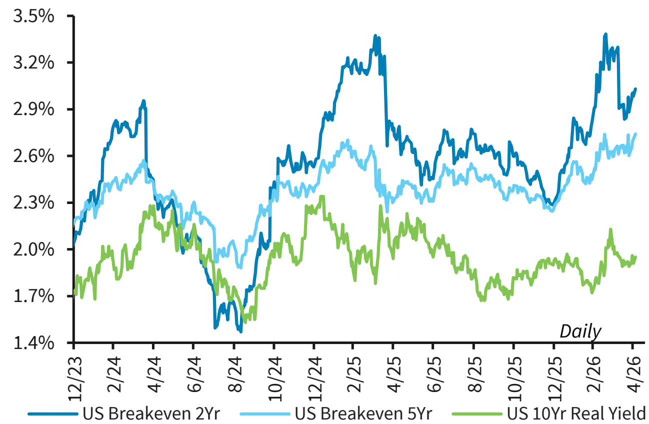
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 15. Consumer sentiment remains at subdued levels



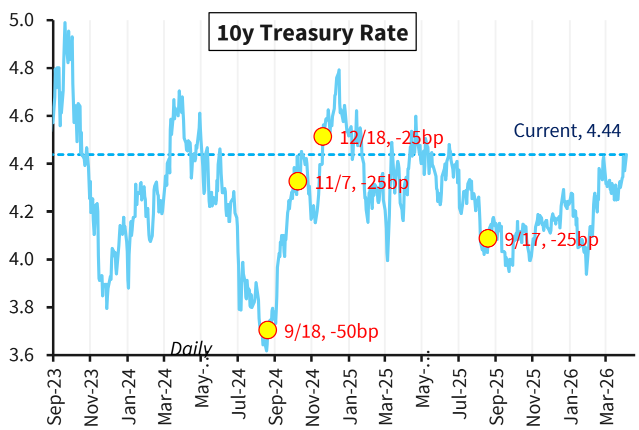
Data as of 04/30/2026
Source: Bloomberg

FIGURE 16. Short term Inflation expectations have have sharply pared back from the height of the conflict



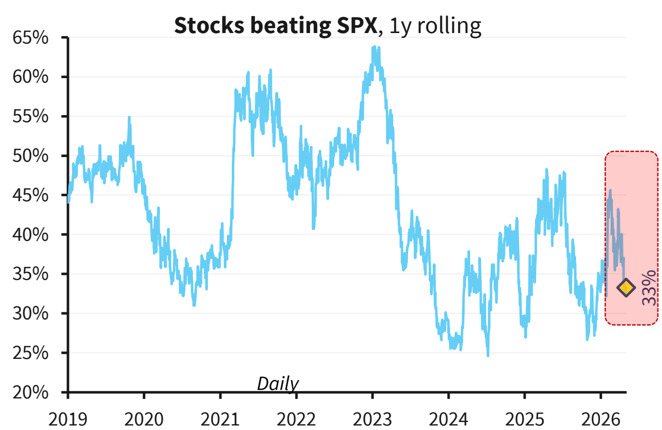
Data includes previous revisions, if any. Data as of 05/04/2026
Source: Bloomberg

FIGURE 17. 10-year rate is currently at 4.44%



Data as of 05/01/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 18. The market has narrows again as Tech leads the way



Data as of 05/04/2026
Source: Bloomberg, Barclays Research

We stay Positive on Large-over-Small for the following reasons:

- Small cap fundamentals continue to look unremarkable relative to large caps: Earnings revisions over the next four quarters remain more modest than across most large-cap segments, and in 1Q26 earnings growth has only narrowly exceeded sales growth (14.2% vs. 12.0%), in contrast to large caps where earnings growth is materially outpacing revenue growth (17.6% vs. 7.6%), signaling stronger operating leverage and margin dynamics at the top end of the market.

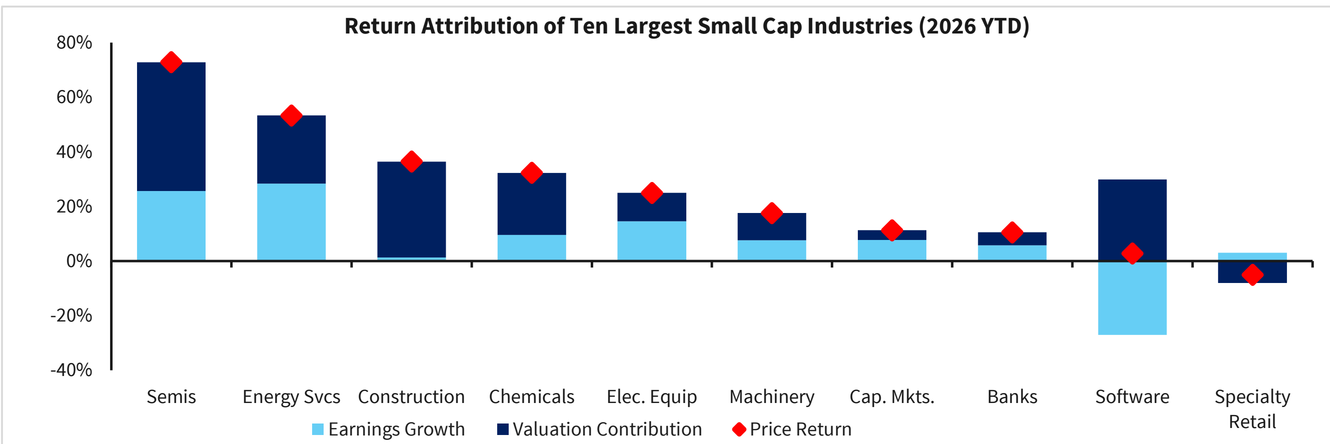
- Valuations in small caps still appear cheaper in aggregate, but this masks growing internal dispersion, as several of the largest small-cap industries have seen year-to-date price appreciation driven more by multiple expansion than by underlying earnings growth, particularly in software, semiconductors, construction and chemicals, leaving these segments more exposed to a potential shift in investor sentiment.

- The macro backdrop remains a headwind for the factor as we expect only a single policy rate cut through the end of 2027, and with small cap balance sheets still carrying historically high debt levels relative to EBITDA, financing costs and leverage dynamics are likely to remain a constraint on profitability.

- That said, the AI capex supercycle should gradually begin to filter down to parts of the small cap universe, much as it has already benefited large-cap utilities, energy and industrials, as supply struggles to keep pace with surging compute demand, offering incremental support to select industries such as semiconductors, electronic and communications equipment manufacturers, and utility operators.

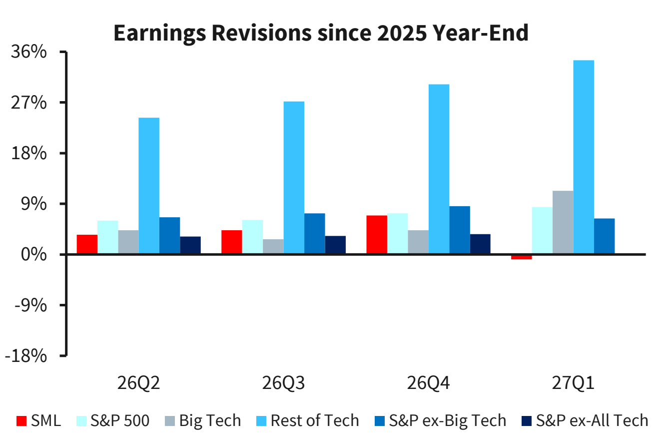
- Overall, the combination of selective secular tailwinds and underwhelming near-term fundamentals leaves us lukewarm on small caps, while our conviction remains strongest in mega caps where hyperscalers continue to invest aggressively in infrastructure to meet massive compute demand, reinforcing our positive stance on the Large-over-Small Size factor.

FIGURE 19. **Several of the largest industries within small caps have seen most of their price surges driven more by multiples expansion than earnings growth, especially Software, Semis, Construction and Chemicals**



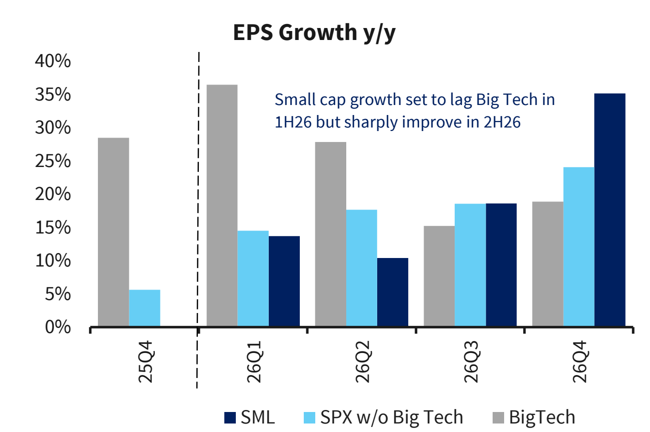
Data as of 05/07/2026
Source: Bloomberg, Barclays Research

FIGURE 20. **Small cap earnings revisions are worse than large caps for the next few quarters**



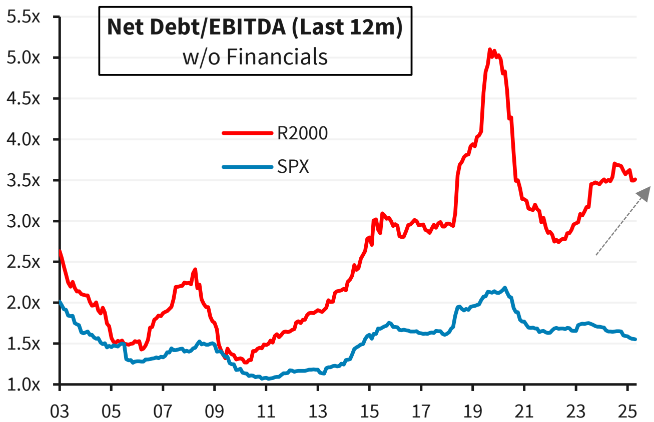
Data as of 05/05/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 21. **Earnings growth for small caps is expected to stay muted vs Big Tech in 1H26, but pick up in 2H26**



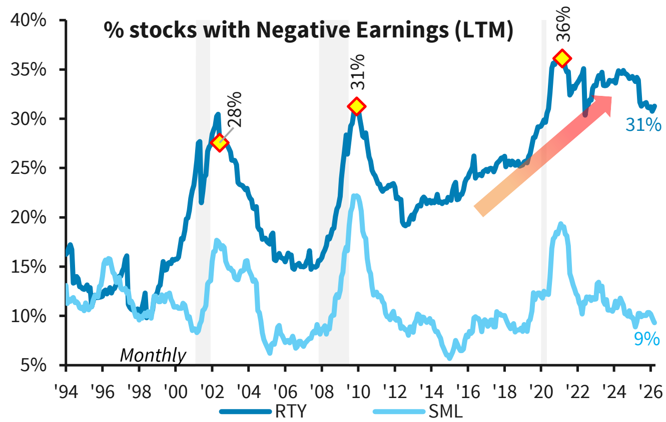
Data as of 04/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 22. Small caps remain more levered than Large caps ...



Data as of 03/27/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 23. ... but the share of unprofitable names is declining from recent highs



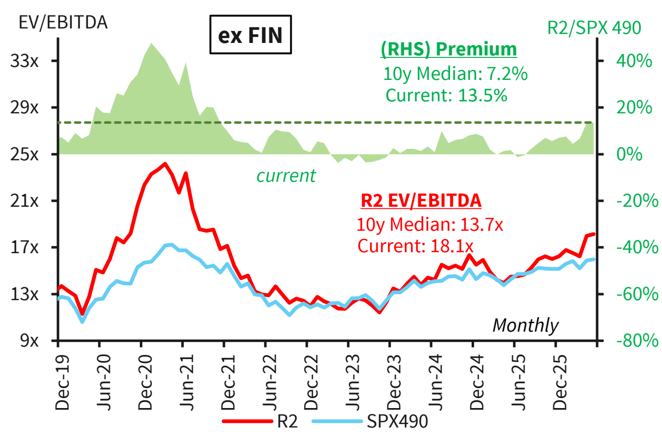
Data as of 03/27/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 24. Small cap valuation is relatively cheap

NTM P/E	US Equities		
	Current	10y Pctle	vs. SPX
Small	16.7x	0.35	0.38
Mid	17.3x	0.50	0.44
Large	21.2x	0.66	0.00
Communications Services	21.8x	0.88	0.97
Consumer Discretionary	29.7x	0.76	0.75
Consumer Staples	22.5x	0.98	0.56
Financials	14.7x	0.58	0.21
Health Care	16.7x	0.45	0.21
Industrials	25.4x	0.87	0.96
Information Technology	24.6x	0.53	0.41
Materials	18.3x	0.49	0.16
Utilities	18.8x	0.60	0.38

Data as of 04/06/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 25. Valuations of small cap ex-Fin are modestly above the long-term median



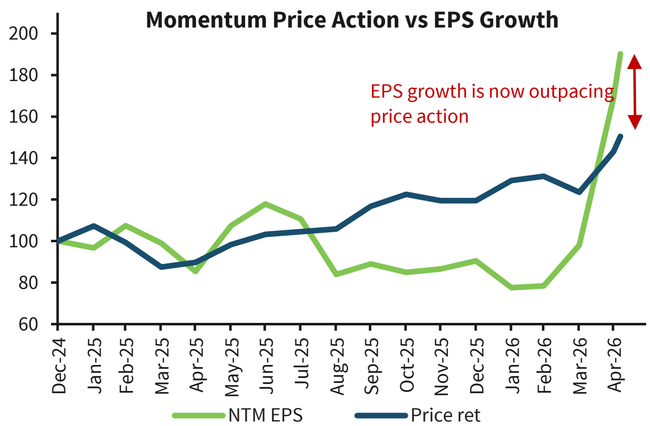
Data as of 04/06/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

Upgrade **Momentum** from **Neutral** to **Positive** for the following reasons:

- Momentum has extended its rally for several months, with only brief interruptions, most notably during the early days of the war in Iran. As risk-on sentiment has reasserted itself, the style has continued to print new highs, naturally raising concerns around the risk of sharp unwinds after such a strong run.
- Those concerns are mitigated by fundamentals. Momentum has delivered exceptionally strong earnings through the current reporting season, with NTM EPS growth now above 100% YTD, the highest across all factors. In addition, the ratio of next-12-months earnings to trailing-12-months earnings sits at the 93rd percentile versus the past 10 years, one of the strongest readings among styles.
- Valuations have moved in the opposite direction. Despite the price rally, Momentum's forward PE has compressed to the 30th percentile relative to the last 10 years, making it one of the cheapest styles in our framework, second only to Yield.

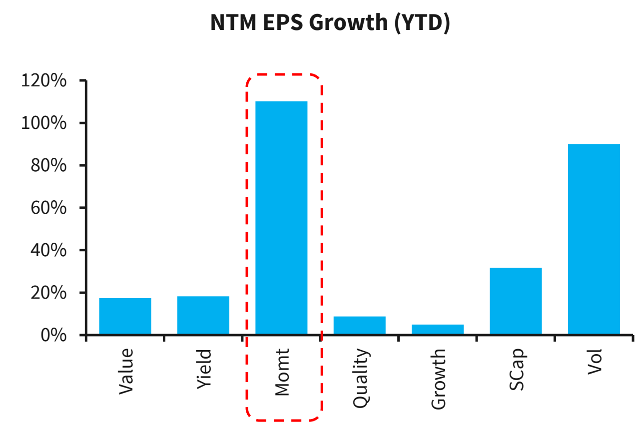
- Looking back further to 2024 year-end, earnings growth has since materially outpaced the already impressive price appreciation, reinforcing the robustness of the rally. Seasonality also helps: May and June have historically been reliable months for Momentum performance. Taken together, these factors support upgrading our stance from neutral to positive.

FIGURE 26. **Momentum's earnings growth is now outpacing price action**



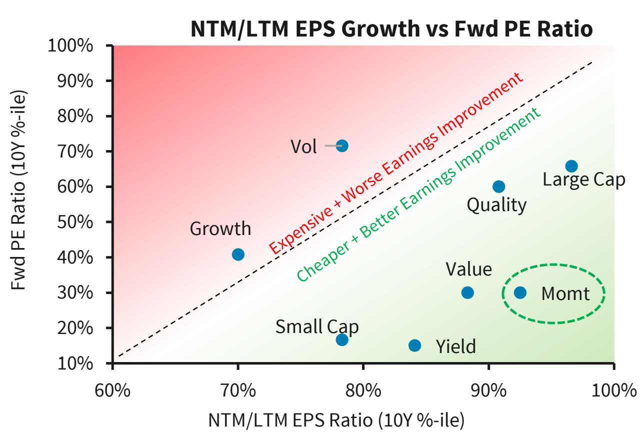
Source: Bloomberg, Barclays Research

FIGURE 27. **Momentum's earnings growth is by far the highest across styles**



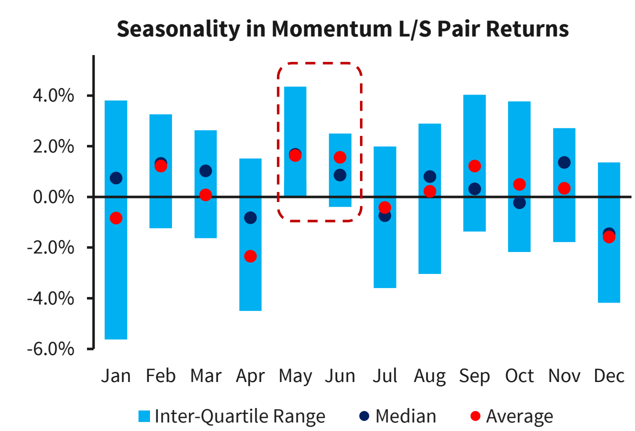
Source: Bloomberg, Barclays Research

FIGURE 28. **Momentum's earnings growth (relative to 10Y history) is among the best across styles, while valuation is among the cheaper ones**



Source: Bloomberg, Barclays Research

FIGURE 29. **May and June have been reliably positive months for Momentum**



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

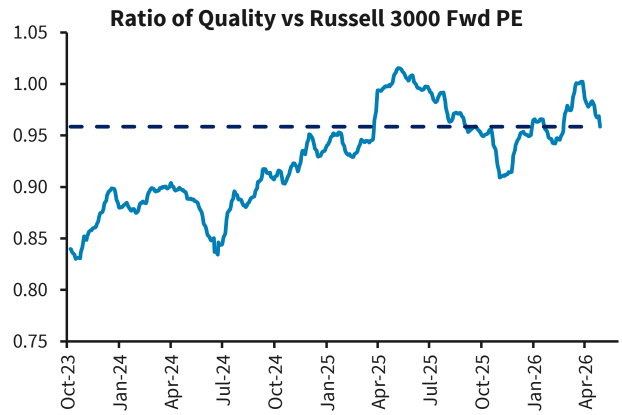
Turn Negative on Quality – We downgrade our view on Quality from Neutral to Negative for the following reasons:

- Quality looks unattractive in the current risk-on environment, as investors appear to be putting Iran war fears largely behind them and rotating back toward semiconductors, hardware and more speculative corners of equities amid historic AI capex spending that shows no signs of slowing, leaving the style's traditional defensive appeal with limited demand. Indeed, Quality's sales and earnings growth attributes are at historically subdued levels, compared to all other styles.

- Despite several months of decline in its price, Quality's valuation versus US equities overall still remains fairly elevated, now sitting at the 65th percentile relative to the past two years. Moreover, as shown in Figure 28, Quality remains one of the more expensive styles.

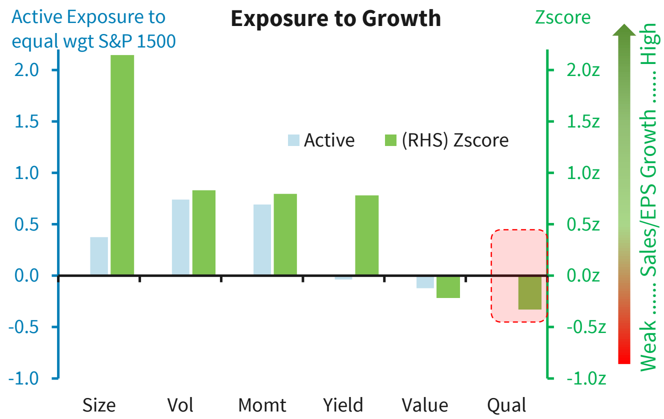
- As a result, we are turning Negative towards Quality, as we favor more growth-oriented and trend following styles.

FIGURE 30. **Quality's valuation vs US equities at large recently moderated but still remains elevated**



Source: Bloomberg, Barclays Research

FIGURE 31. **Quality's exposure to Growth is especially weak compared to other styles**



Source: LSEG Data & Analytics, Barclays Research

Upgrade to Neutral on High-over-Low Volatility – We upgrade our view on Volatility to Neutral for the following reasons:

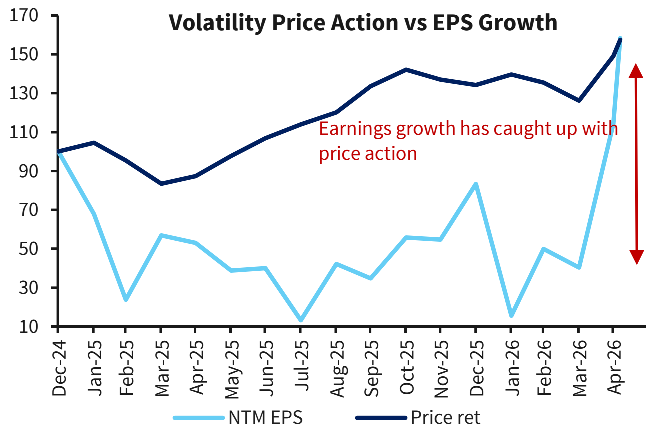
- The factor has rallied sharply after weakness in February and March (rallying by ~31% from YTD trough), helped by fading concerns around the Iran war energy shock, a strong 1Q26 earnings season, and a renewed risk-on impulse as hyperscaler AI infrastructure spending continues to feel almost inexorable.

- The valuation case is no longer comfortable: High-over-Low Volatility now trades with forward PE at the 71st percentile versus the last 10 years, making it the most stretched style on that basis. But the earnings backdrop has improved enough to temper the bearish view. NTM EPS growth is roughly 90% YTD, second only to Momentum, suggesting today's basket is less "junky" than the factor's historical reputation implies.

- Looking back to the beginning of 2025, earnings growth has finally caught up with price action after lagging for much of the period. That matters because the rally is no longer simply a multiple story; fundamentals are now doing a lot of the work, leaving us less pessimistic about the factor's current composition.

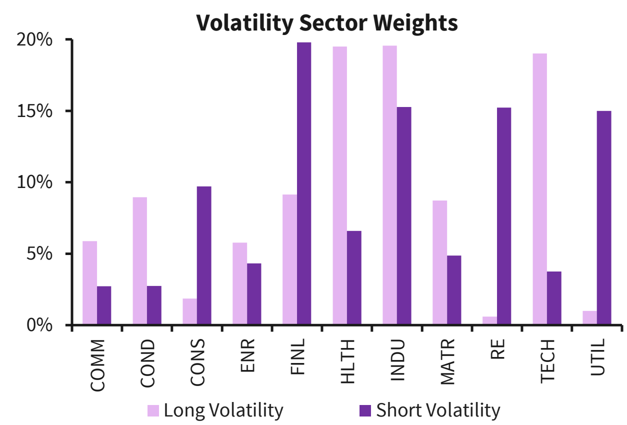
- Sector exposure leaves a more mixed picture. The High-vs-Low Volatility basket tilts toward Tech, Healthcare, and Industrials, and away from Utilities, Financials, and Real Estate. Tech and Industrials exposure should help the High Volatility leg, given our positive view, but Healthcare is a headwind; meanwhile, Low Volatility's Utilities and Financials exposure may also be a source of benefit given our positive outlook on those sectors.

FIGURE 32. Earnings growth for Volatility basket has closed the gap with price action



Source: LSEG Data & Analytics, Barclays Research

FIGURE 33. Vol basket has a tilt towards Tech, Healthcare & Discretionary, and away from Utilities, Real Estate & Financials



Source: LSEG Data & Analytics, Barclays Research

Stay Neutral on Yield (Dividends + Buybacks) – We remain Neutral on Yield, as the setup does not look materially more compelling than it did last month, when we upgraded the style to Neutral. Risk appetite is firmly back in the driver's seat, leaving styles such as Growth and Momentum better aligned with the current market tone and making Yield's defensive appeal less differentiated. The macro backdrop has also become less supportive: April payroll data on Friday, May 8 surprised sharply to the upside (115k actual vs 65k consensus) and the unemployment rate held steady at 4.3%, reducing the urgency for Fed easing, while Barclays economists already expect only one cut through the end of 2027. In that context, the case for cash-generative strategies that often behave like bond proxies looks less attractive, particularly when investors are being rewarded for leaning into risk rather than hiding from it. That said, the downside case is also not especially compelling. Yield remains one of the cheapest styles we track, with its forward PE at the 15th percentile versus the last 10 years (Figure 28), and positioning is the least crowded across our style universe (Figure 14). Those two features should help limit the risk of a disorderly, convex move lower. Taken together, the factor lacks an obvious upside catalyst, but its valuation and positioning support argue against a more negative stance, leaving us comfortable maintaining a Neutral view.

Europe factor analysis and views: May 2026

Please register here to join our conference call on the EU factors update on Wednesday, 13 May.

Please note: our updated basket constituents are available here – Barclays Equity Factor Monitor, 5 May.

Key insights

- **If leadership broadens beyond Momentum, Value could benefit.** Momentum factor is having one of the best starts of the year. It remains AI-led and supported by strong earnings, but increasingly crowded. This argues for managing exposure rather than chasing. Any broadening in the tape would favour Value, which offers the cleanest rotation channel given its strong earnings momentum and structurally negative correlation to Momentum.

- **Earnings season has been a tailwind for Value.** Earnings delivery has been strong, lifting European EPS growth to around 7%, the highest since Q1'23, even as price action remains selective with little tolerance for misses. Value has consistently outperformed on earnings days. Stronger-than-expected delivery has rebuilt earnings momentum, now pointing to further upside.

- **Progress towards peace would add pressure on Yield.** The conflict premium is unwinding unevenly. Yield tracks Brent closely which shows half of the conflict-driven gains retraced so peace is not fully priced. Further credible progress towards peace would mechanically add pressure on high yield given energy sensitive exposure.

- **Factor allocation.** Positive Value; Neutral Momentum, Quality, Growth and Small Caps; Negative Low Vol.

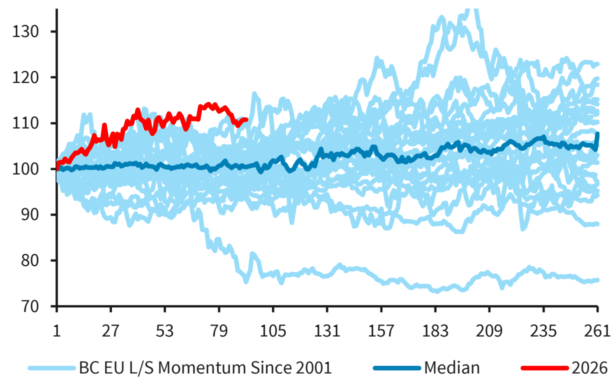
European Factor Themes

As we wrote in our recent publications, we see three key themes driving the market - 1) Who benefits if Momentum broadens (Broadening awaits peace, 8 May), 2) Q1 Earnings (Q1 Earnings – Strong delivery boosted by US/Tech, 7 May), and 3) Peace not fully priced (Crunch time - May Chart Pack, 6 May).

1) Who benefits if Momentum broadens?

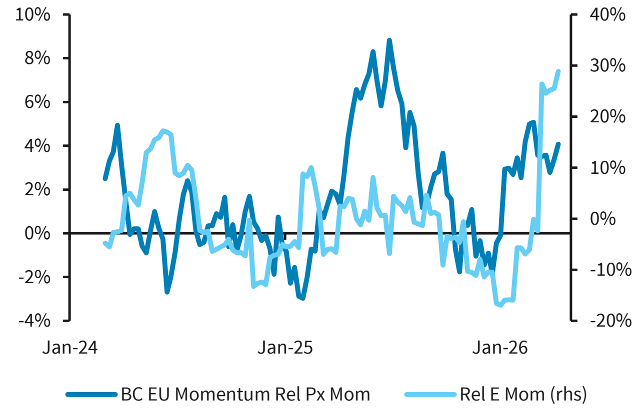
EU Momentum remains the top-performing factor in 2026, marking one of its strongest years on record. While the rally has cooled at the margin, it continues to be underpinned by solid earnings momentum. Tactically, this argues for managing rather than adding exposure, with rotation risk rising as leadership shows early signs of fatigue.

FIGURE 34. BC EU Momentum is running hot in 2026 vs history



Source: Bloomberg, Barclays Research

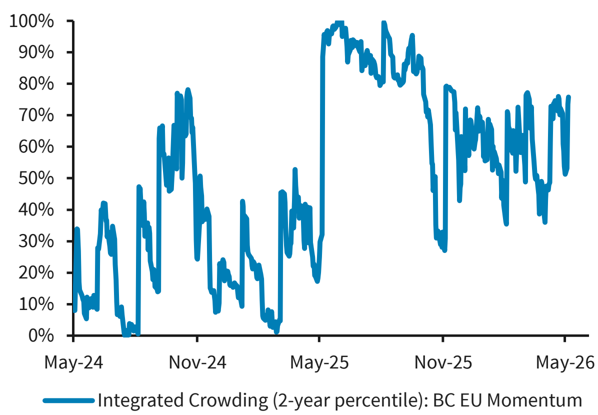
FIGURE 35. Earnings have supported Momentum rally



Source: Bloomberg, Barclays Research

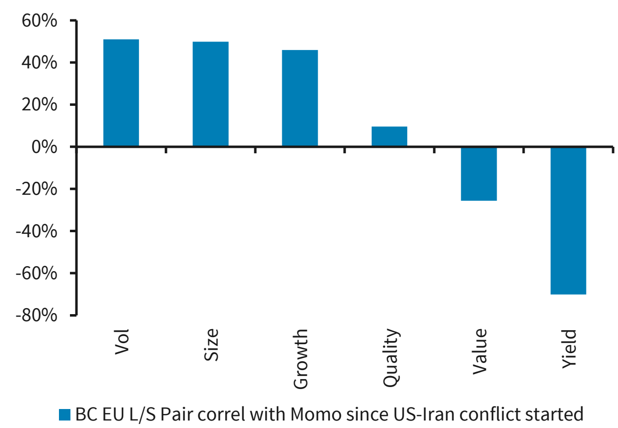
Momentum crowding is starting to look toppish indeed, although not yet extreme. For equities to extend higher, we believe that leadership needs to broaden beyond Momentum. In that scenario, Value looks the cleaner rotation beneficiary, while Yield is less attractive given its heavier oil sensitivity and residual war trade exposure.

FIGURE 36. Crowding is elevated but not yet extreme within EU Momentum



Source: MSCI, Barclays Research

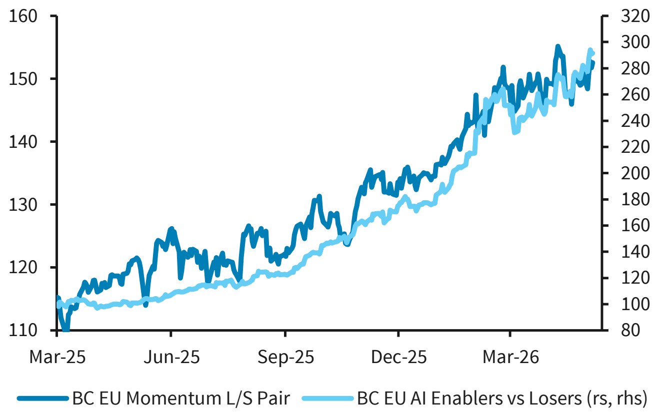
FIGURE 37. European Value and Yield could benefit the most from Momentum unwind



Source: Bloomberg, Barclays Research

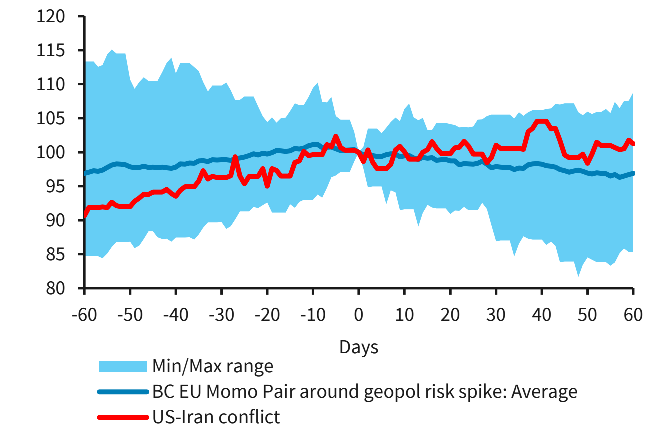
Momentum has largely been an AI winners trade. Over the past twelve months, European Momentum has tracked closely the performance of AI winners versus losers, explaining its resilience through the conflict. This reflects limited exposure to consumer and energy stocks, leaving Momentum relatively insulated from geopolitics.

FIGURE 38. BC EU Momentum pair has moved with AI winners vs Losers trade in Europe



Source: Bloomberg, Barclays Research

FIGURE 39. Momentum has remained resilient through the US-Iran conflict

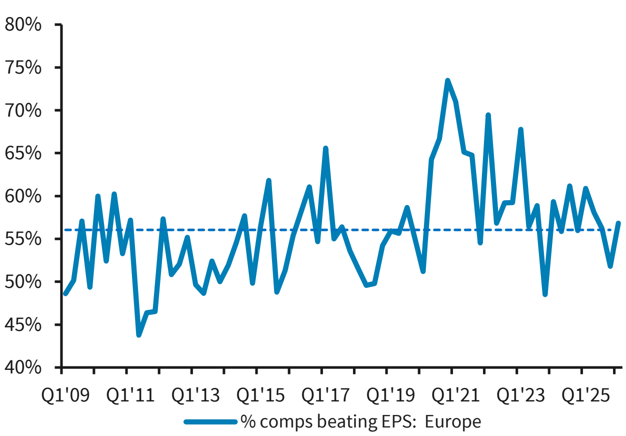


Source: Bloomberg, Barclays Research

2) Q1 Earnings through the factor lens

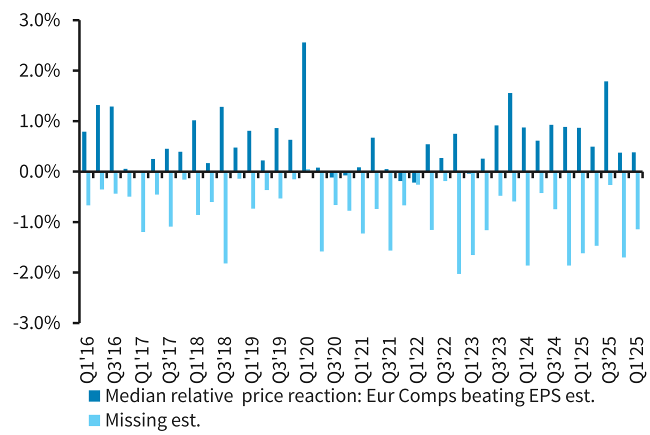
Q1 earnings delivery has been strong, with most of the season now behind us (Q1 Earnings – Strong delivery boosted by US/Tech, 7 May). Blended EPS growth in Europe has lifted to around 7%, the strongest since Q1'23, supported by a solid beat rate versus history. Price action has been highly discriminating, with clear rewards for beats and swift punishment for misses.

FIGURE 40. European earnings beats moved above the long-run average



Source: Bloomberg, Barclays Research

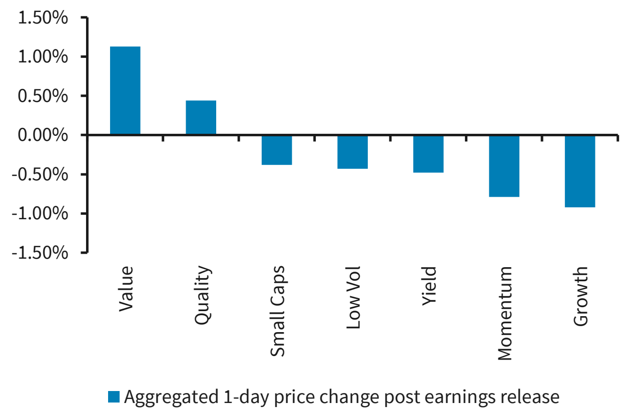
FIGURE 41. Median price reaction to results has been tilted slightly negative in Europe



Source: Bloomberg, Barclays Research

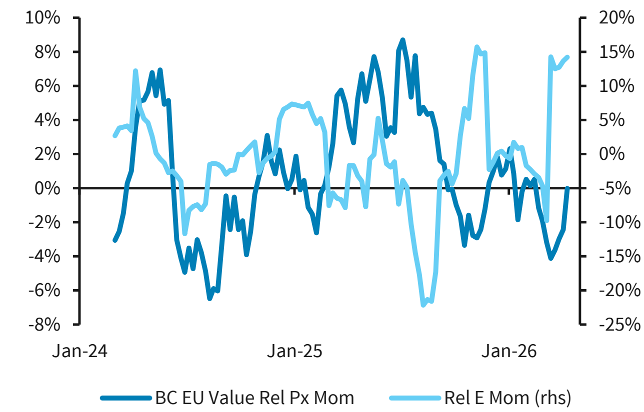
Within factors, Value has been the clear earnings season outperformer. European Value stocks averaged around +100bps on results days, reflecting strong rewards for positive delivery versus low expectations. This fits the historical pattern of Value outperforming around earnings, and with earnings momentum now turning higher, the setup continues to point to further upside for Value.

FIGURE 42. **Value leads Barc EU factors performance on earnings days**



Source: Bloomberg, Barclays Research

FIGURE 43. **Improving earnings momentum underpins Value outperformance**

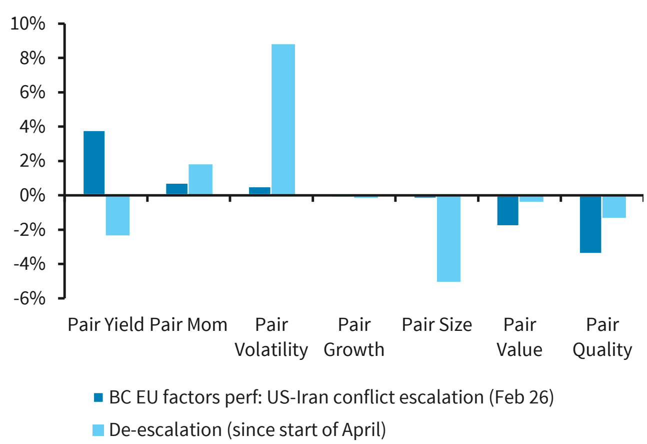


Source: Bloomberg, Barclays Research

3) Peace not fully priced

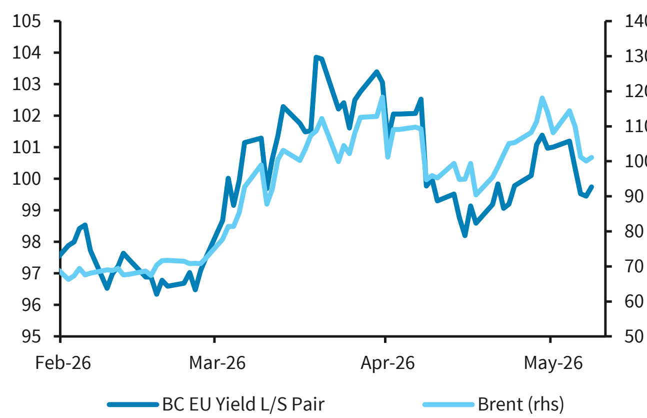
War has reshaped factor leadership, with markets quick to price de-escalation even as the political endgame remains unclear. In Europe, the war trade was concentrated in Yield, which has only retraced about half of its conflict-driven gains, broadly in line with Brent not pricing a full peace outcome. Further credible progress towards peace would mechanically add pressure on high yield given energy sensitive exposure.

FIGURE 44. **Conflict premium unwinds unevenly across factors**



Source: Bloomberg, Barclays Research

FIGURE 45. **War premium in Yield partially unwinding, in line with oil**



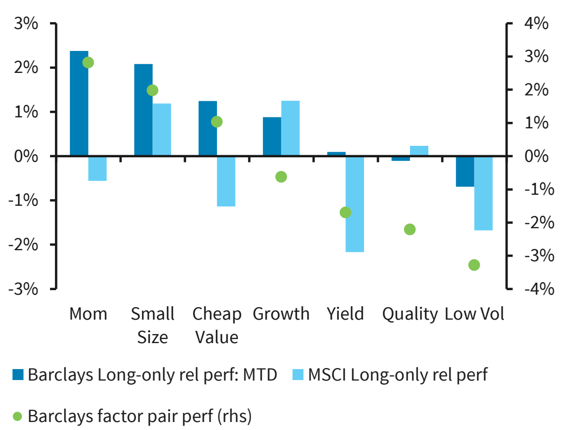
Source: Bloomberg, Barclays Research

European Factor Performance Review

Pro-risk factors dominate since April

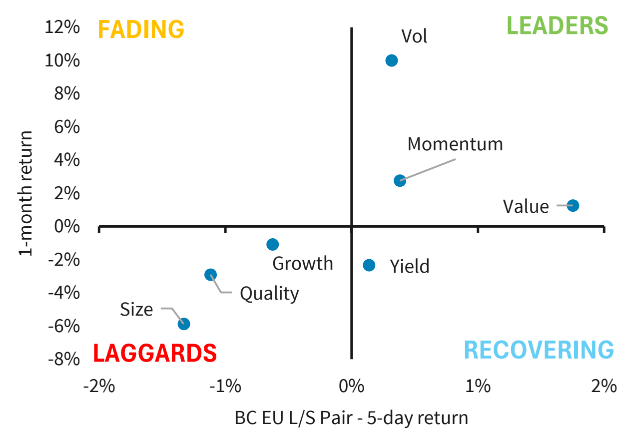
MTD performance continues to favour pro-risk factors, led by Momentum, with Small Caps close behind and followed by Value . Growth pair underperformed even as the High Growth long-only leg delivered positive relative returns. Yield, Quality and Low Vol sit at the bottom of the stack. From a quadrant view, Value moves into the Leaders bucket on a strong five-day performance, alongside Momentum and Volatility, while Growth, Quality and Size remain firmly in the laggards quadrant. Finally, Yield shows some signs of stabilisation, moving into the recovering bucket.

FIGURE 46. Momentum, Small Caps and Value lead MTD as defensives and income lag



Note: Past performance is not necessarily indicative of future results.
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

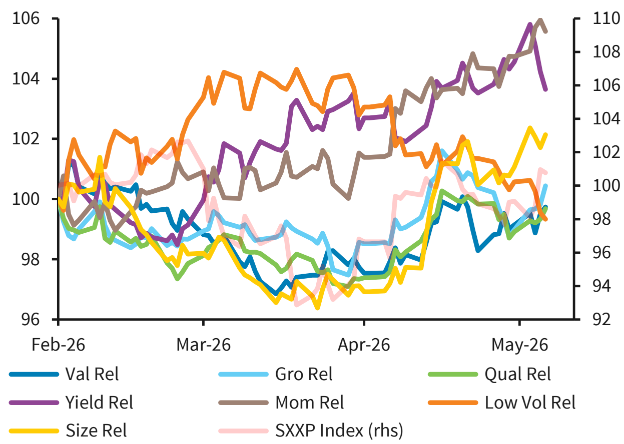
FIGURE 47. Momentum firmly in the leader quadrant; Size, Quality and Growth stuck in laggards



Vol = Long High Vol/Short Low Vol; Size = Long Large Caps/Short Small Caps
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

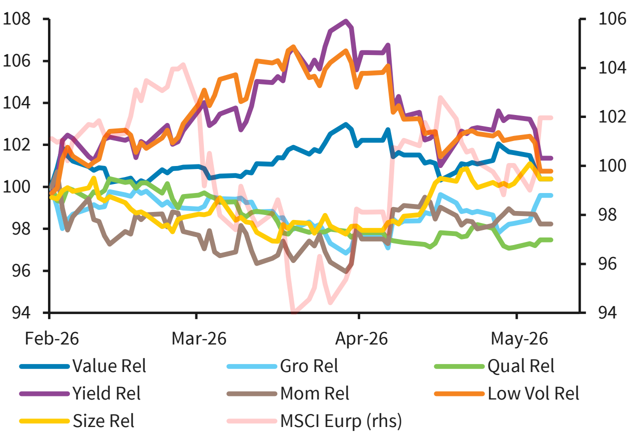
Over the past three months, Momentum has been the most consistent outperformer among Barclays factors, pushing steadily higher from late March into May, while Yield also led early before rolling over late in the period. Low Vol shows the clearest reversal, outperforming into March and then fading persistently through April and May. Value and Growth stabilised after a late March trough, with only a modest April rebound, while Quality remained a structural laggard with limited recovery. Among MSCI factors, Value, Yield and Low Vol led into early April before reversing sharply mid month. Momentum underperformed in most of the March window but showed a mild late stabilisation without reclaiming leadership. Size traced a clearer V-shape, bottoming in late March and recovering into May, while Quality again lagged with only marginal improvement towards the end.

FIGURE 48. **Barclays Momentum trend intact, Small Caps catch-p**



Barclays factors
Source: Bloomberg, Barclays Research

FIGURE 49. **MSCI factors performance narrows, Yield and Low Vol rolling over since early April**



MSCI factors
Source: LSEG Data & Analytics, Barclays Research

European Factors Landscape

Factors allocation

FIGURE 50. **Current Europe factor recommendations and rationale**

Factor	Description	Recomm.	Rationale
Value	Cheap	Positive	Sticky inflation and a still-hawkish ECB keep the macro biased toward reflation. Positioning is cleaner, earnings momentum is rebuilding, and Value remains inexpensive after lagging the rates repricing, offering a cleaner and more robust entry point into the reflation trade.
Momentum	High Px Mom	Neutral	Near-term crowding concerns. Solid EPS momentum and continued AI winners exposure remain supportive, with valuations closer to historical norms.
Quality	High Quality	Neutral	Valuation support has improved risk-reward, but limited near-term catalysts and ongoing disruption from AI-led winners temper the case for adding aggressively at this stage.
Size	Small	Neutral	Cooling macro momentum and restrictive ECB policy cap near-term rotation upside. Valuations are attractive, but the macro backdrop lacks sufficient traction to justify a more constructive stance.
Growth	High Growth	Neutral	Earnings momentum is improving but renewed rates volatility weighs on long-duration exposure. Light positioning and stabilising sentiment help limit downside risks.
Volatility	Low Vol	Negative	Relative valuations are still unattractive and the factor continues to screen poorly in a sticky-inflation, higher-rates environment.

Note: Positive: We recommend increasing exposure to the factor. Neutral: We recommend maintaining exposure to the factor. Negative: We recommend decreasing exposure to the factor.
Source: Barclays Research

Factor performance across macro/market regimes

CESI continues to roll over as global growth expectations soften post-conflict, while sticky inflation and a volatility floor keep risk appetites contained. This backdrop has historically supported positive but choppier equity returns. The playbook favours balanced factor exposure, with beta expressed through Momentum while staying underweight Low Vol. With peak escalation likely behind us, the model shifts defensive exposure from Low Vol into Quality, reflecting persistently high rates and a preference for earnings and balance sheet resilience over pure duration proxies.

FIGURE 51. Barc EU Factors - 4-week forward relative return by Global CESI regime

Barc EU Factors - 4w forward relative return by Global CESI regime

Level	Change	Speed	SXXP	Mom	Gro	Val	Qual	Yield	Size	Low Vol
High	Increase	Fast	1.1%	0.3%	0.2%	-0.1%	0.2%	0.1%	0.2%	-0.2%
High	Increase	Slow	0.6%	0.1%	0.3%	0.1%	0.3%	0.1%	0.5%	0.0%
High	Decrease	Fast	0.4%	0.4%	0.4%	0.1%	0.2%	0.4%	0.5%	0.1%
High	**Decrease**	**Slow**	**0.2%**	**0.5%**	**0.7%**	**0.1%**	**0.4%**	**0.0%**	**0.4%**	**0.0%**
Low	Increase	Fast	0.4%	-0.3%	0.2%	0.2%	0.0%	0.0%	-0.2%	0.1%
Low	Increase	Slow	0.8%	-0.1%	-0.4%	0.8%	-0.4%	0.5%	0.0%	0.6%
Low	Decrease	Fast	0.4%	-0.4%	0.2%	0.5%	0.1%	0.2%	0.1%	0.0%
Low	Decrease	Slow	-0.8%	0.5%	0.3%	-0.3%	0.4%	-0.1%	-0.1%	0.5%

52-week look back window percentile used, High, Increase and Fast are when current percentile is above 50%, change is 12-week and speed is 4-week change of 12-week change

Source: Bloomberg, Barclays Research

FIGURE 52. Barc EU Factors - 4-week forward relative return by Global Inflation Surprise regime

Barc EU Factors - 4w forward relative return by Global Inflation Surprise regime

Level	Change	Speed	SXXP	Mom	Gro	Val	Qual	Yield	Size	Low Vol
High	Increase	Fast	-0.4%	0.6%	0.4%	-0.3%	0.5%	0.1%	0.4%	0.5%
High	**Increase**	**Slow**	**0.9%**	**-0.1%**	**0.1%**	**0.0%**	**0.1%**	**0.1%**	**0.0%**	**-0.3%**
High	Decrease	Fast	-0.4%	-0.6%	0.1%	0.2%	-0.3%	0.0%	-0.3%	1.1%
High	Decrease	Slow	0.5%	0.0%	0.7%	0.9%	0.4%	0.6%	0.4%	0.1%
Low	Increase	Fast	0.3%	0.0%	-0.1%	-0.2%	0.0%	0.0%	-0.2%	-0.1%
Low	Increase	Slow	0.6%	0.5%	0.8%	0.1%	0.3%	0.0%	0.5%	0.1%
Low	Decrease	Fast	1.1%	-0.1%	0.0%	-0.1%	0.0%	-0.1%	-0.2%	-0.2%
Low	Decrease	Slow	0.0%	0.3%	0.4%	0.3%	0.3%	0.0%	0.3%	0.2%

52-week look back window percentile used, High, Increase and Fast are when current percentile is above 50%, change is 12-week and speed is 4-week change of 12-week change

Source: Bloomberg, Barclays Research

FIGURE 53. Barc EU Factors - 4-week forward relative return by VIX regime

Barc EU Factors - 4w forward relative return by VIX regime

Level	Change	Speed	SXXP	Mom	Gro	Val	Qual	Yield	Size	Low Vol
High	Increase	Fast	0.6%	0.4%	0.5%	0.3%	0.3%	0.2%	0.4%	-0.1%
High	Increase	Slow	-0.8%	0.6%	0.5%	-0.7%	0.6%	-0.2%	-0.1%	0.5%
High	Decrease	Fast	1.7%	-0.6%	0.0%	0.3%	-0.3%	0.3%	0.5%	-0.6%
High	**Decrease**	**Slow**	**0.0%**	**-0.1%**	**0.2%**	**0.4%**	**0.0%**	**0.3%**	**0.3%**	**-0.3%**
Low	Increase	Fast	0.2%	0.2%	0.1%	0.0%	0.4%	0.0%	0.1%	0.4%
Low	Increase	Slow	0.4%	0.1%	0.2%	-0.1%	0.4%	-0.3%	0.0%	0.2%
Low	Decrease	Fast	0.4%	0.0%	0.2%	0.1%	0.2%	0.2%	0.1%	0.1%
Low	Decrease	Slow	0.1%	0.1%	0.2%	-0.1%	0.1%	0.0%	-0.1%	0.3%

52-week look back window percentile used, High, Increase and Fast are when current percentile is above 50%, change is 12-week and speed is 4-week change of 12-week change

Source: Bloomberg, Barclays Research

FIGURE 54. Barc EU Factors - 4-week forward relative return by MOVE regime

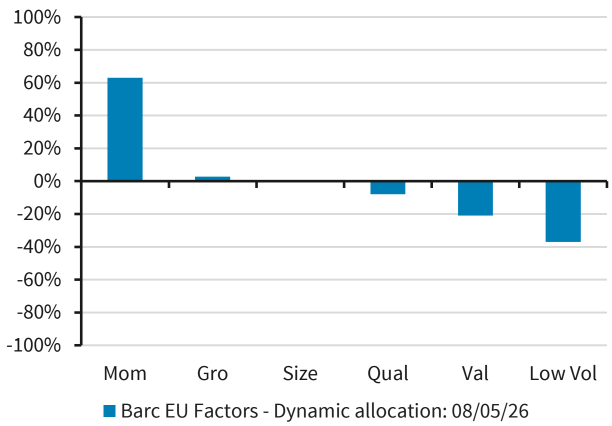
Barc EU Factors - 4w forward relative return by MOVE regime

Level	Change	Speed	SXXP	Mom	Gro	Val	Qual	Yield	Size	Low Vol
High	Increase	Fast	0.5%	0.1%	0.5%	0.2%	0.2%	0.1%	0.3%	-0.3%
High	Increase	Slow	0.8%	-0.1%	0.3%	-0.3%	0.2%	-0.1%	-0.2%	0.0%
High	Decrease	Fast	-1.3%	-0.1%	0.5%	0.1%	0.1%	0.0%	0.5%	0.5%
High	Decrease	Slow	0.2%	0.1%	0.4%	0.4%	0.0%	0.0%	-0.1%	-0.1%
Low	Increase	Fast	1.2%	0.2%	0.0%	0.7%	-0.2%	0.3%	0.2%	0.0%
Low	**Increase**	**Slow**	**0.5%**	**0.6%**	**0.2%**	**0.4%**	**0.3%**	**0.3%**	**0.4%**	**-0.1%**
Low	Decrease	Fast	-0.7%	0.2%	0.1%	-0.4%	0.6%	0.1%	0.0%	0.4%
Low	Decrease	Slow	0.1%	0.3%	0.2%	-0.4%	0.4%	0.0%	0.1%	0.5%

52-week look back window percentile used, High, Increase and Fast are when current percentile is above 50%, change is 12-week and speed is 4-week change of 12-week change

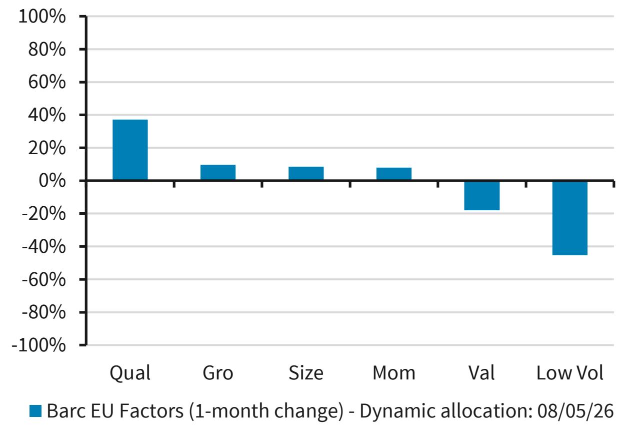
Source: Bloomberg, Barclays Research

FIGURE 55. Our dynamic allocation model favours Momentum over the next four weeks



Source: Bloomberg, Barclays Research

FIGURE 56. The model rotates to Quality from Low Vol

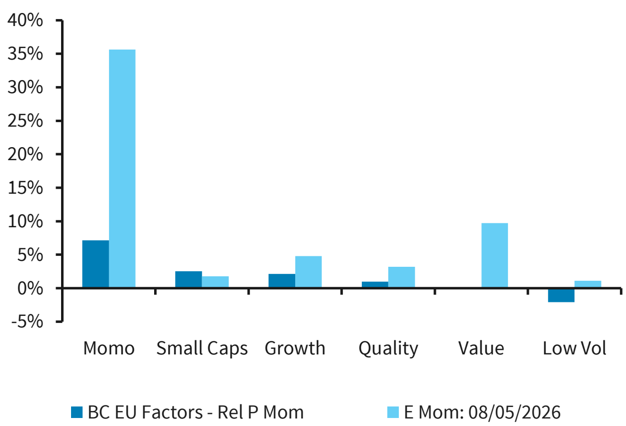


Source: Bloomberg, Barclays Research

Price and earnings momentum

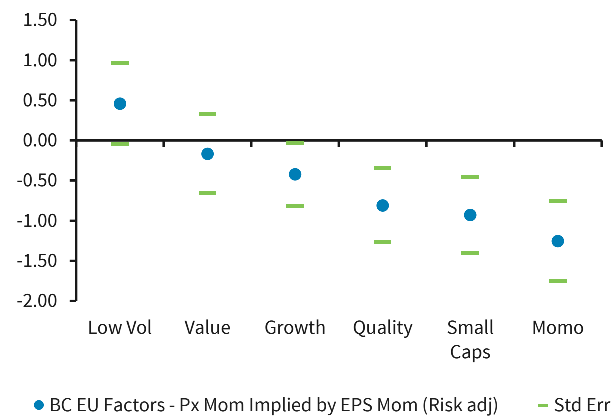
Momentum gains have been supported by strong earnings revisions, but returns implied by fundamentals now screen weakest within factors. Small Caps show a weak alignment too, with price action running ahead of earnings support. By contrast, Value combines the strongest earnings momentum with one of the most attractive returns implied by fundamentals, favouring rotation away from pure price led trades.

FIGURE 57. Momentum gains were backed by strong earnings momentum, Small Caps less so



Source: Bloomberg, Barclays Research

FIGURE 58. Low Vol and Value are showing the best return implied by earnings momentum

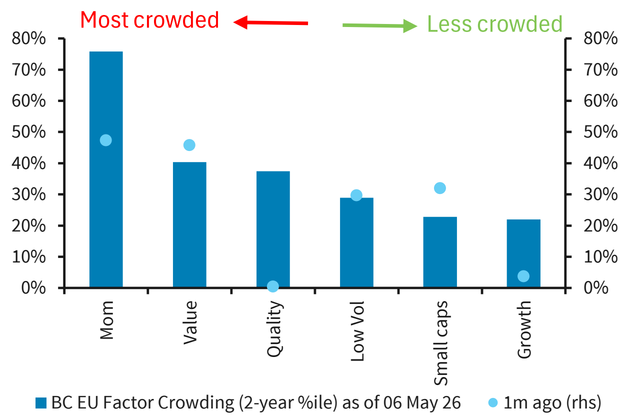


Source: Bloomberg, Barclays Research

Positioning

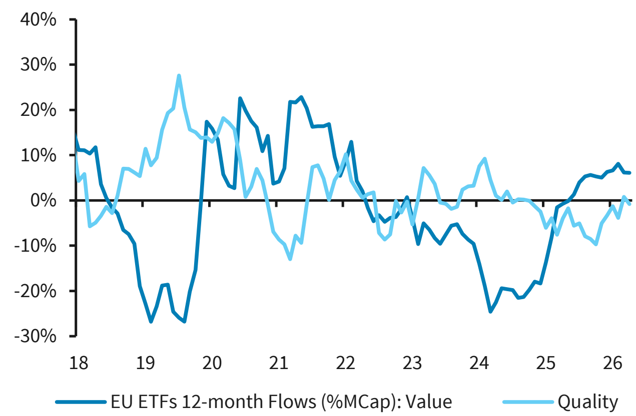
Momentum crowding has risen over the past four weeks and remains the most crowded trade. As positioning becomes more asymmetric, Momentum looks more vulnerable to any deceleration in fundamentals. Recent flows show Value positioning starting to temper, while Quality has attracted incremental inflows.

FIGURE 59. Momentum remains the most crowded among European factors



Source: MSCI, Barclays Research

FIGURE 60. Flows in Value tempers, while Quality saw incremental inflows

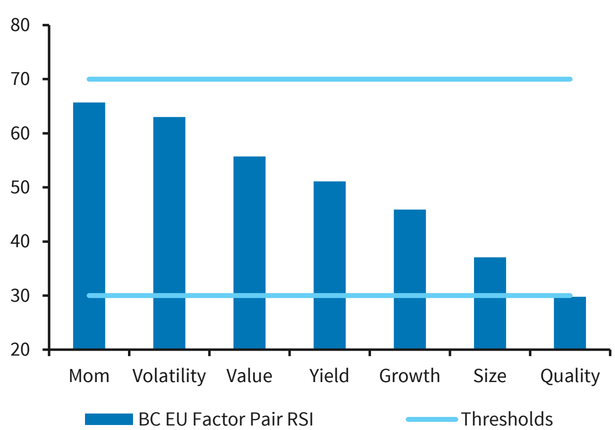


Source: Bloomberg, Barclays Research

Technicals

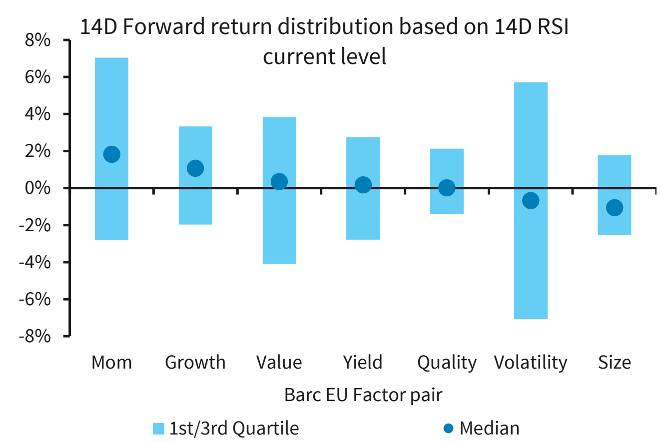
Seasonality points to a broadly flat global equity performance in May/June, with relative resilience in Quality and Momentum. With dispersion elevated, factor selection is key, and Value stands out as a cleaner Momentum neutral expression given low correlations and limited exposure to crowded AI winners. Quality also looks increasingly interesting from an oversold perspective, but its long short inflation bias makes it a harder trade to express cleanly at this stage.

FIGURE 61. Barclays European Factors - 14D RSI



Source: Bloomberg, Barclays Research

FIGURE 62. Barclays European Factors - 14D forward returns by 14D RSI current level



Source: Bloomberg, Barclays Research

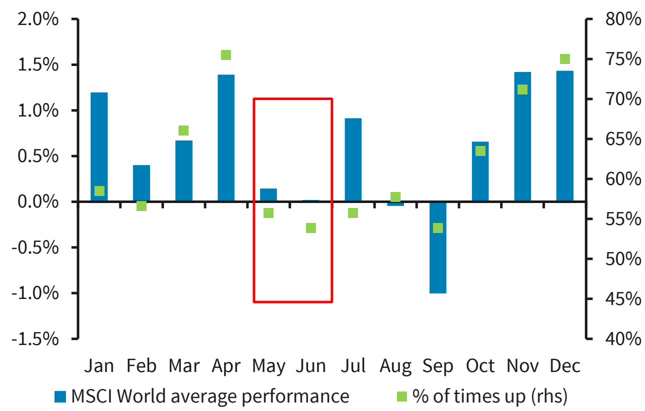
FIGURE 63. May tends to favour Quality, Growth and Momentum

Europe factor seasonality - Average rel. monthly return

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Quality	-0.5%	0.7%	0.4%	-0.1%	0.7%	0.4%	-0.1%	0.9%	0.2%	-0.6%	0.2%	0.6%
Growth	0.5%	0.8%	0.4%	-0.3%	0.6%	-0.3%	0.3%	1.0%	-0.3%	-0.3%	0.4%	0.8%
Momentum	0.0%	1.1%	0.2%	-0.8%	0.6%	0.7%	0.0%	0.3%	0.5%	-0.3%	-0.1%	0.5%
Low Vol	-0.4%	0.7%	0.9%	-0.8%	0.5%	0.5%	-0.4%	0.8%	0.9%	-0.6%	-0.4%	0.2%
Small Caps	0.2%	0.9%	0.2%	0.5%	0.1%	-0.3%	0.2%	0.6%	-0.1%	-0.7%	0.5%	0.8%
Yield	0.1%	0.4%	0.5%	0.3%	-0.1%	-0.2%	-0.1%	0.8%	0.3%	-0.2%	0.3%	0.6%
Value	0.6%	1.2%	0.2%	0.8%	-0.3%	-0.5%	0.0%	0.6%	-0.2%	0.3%	0.4%	0.7%

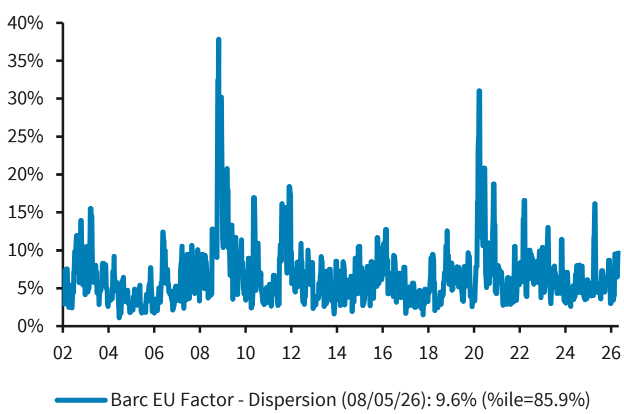
Source: Bloomberg, Barclays Research

FIGURE 64. May-June seasonality is not supportive for global equities



Source: Bloomberg, Barclays Research

FIGURE 65. Barclays European factor dispersion has increased recently



Source: Bloomberg, Barclays Research

FIGURE 66. Barclays European Factors - 3-month correlation

Barc EU Factors - 3-month correlation

	Value	Growth	Quality	Mom	Low Vol	Size
Value		95%	96%	94%	88%	97%
Growth	95%		99%	96%	90%	95%
Quality	96%	99%		96%	90%	96%
Mom	94%	96%	96%		87%	93%
Low Vol	88%	90%	90%	87%		89%
Size	97%	95%	96%	93%	89%	

Source: Bloomberg, Barclays Research

FIGURE 67. Barclays EU factors constituents overlap

Barc EU Factors - Constituents overlap

	Value (Cheap)	High Growth	High Quality	High Yield	High Momentum	High Volatility	Large Size	Anti-Value (Expensive)	Low Growth	Low Quality	Low Yield	Low Momentum	Low Volatility
Value (Cheap)		5%	5%	19%	7%	14%	4%		20%	31%	10%	26%	2%
High Growth	6%		23%	8%	22%	28%	9%	29%		8%	24%	15%	1%
High Quality	6%	22%		12%	11%	12%	10%	31%	11%		11%	19%	12%
High Yield	21%	8%	13%		9%	13%	5%	6%	18%	22%		17%	8%
High Momentum	8%	21%	11%	9%		25%	11%	19%	3%	15%	18%		9%
High Volatility	13%	24%	11%	11%	22%		2%	25%	7%	28%	43%	26%	
Large Size	8%	16%	18%	8%	20%	4%		20%	14%	2%	6%	8%	16%
Anti-Value (Expensive)		31%	35%	6%	21%	31%	13%		5%	6%	24%	13%	19%
Low Growth	22%		11%	18%	3%	8%	8%	5%		15%	13%	20%	21%
Low Quality	31%	7%		19%	13%	30%	1%	5%	13%		22%	17%	4%
Low Yield	10%	21%	10%		16%	43%	3%	19%	11%	22%		17%	3%
Low Momentum	28%	14%	19%	17%		30%	4%	11%	19%	19%	19%		3%
Low Volatility	3%	1%	15%	10%	11%		11%	21%	25%	6%	4%	4%	
Small Size	24%	15%	17%	17%	15%	28%		9%	14%	21%	22%	20%	3%

Source: Bloomberg, Barclays Research

FIGURE 68. Barclays EU factors and thematics baskets constituents overlap

Barc EU Factors - Constituents overlap

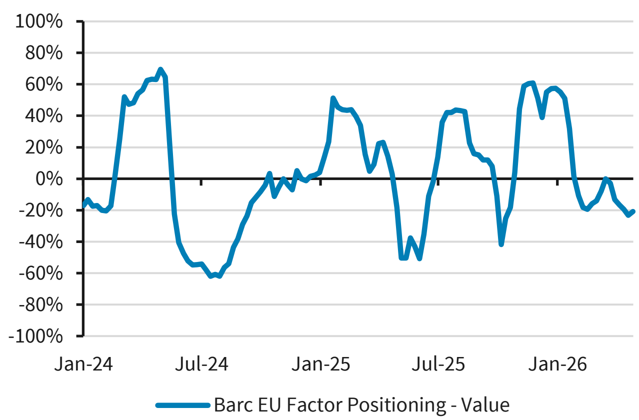
	US tariff-exposed	EU exporters	EU Domestics	Ukraine Ceasefire	Germany revival	EU Defence	EU AI Enablers	EU AI Losers	Short cycle	SXXP consumer	EU Inflation Long	EU Inflation Short	EU Duration Long	EU Duration Short
Value (Cheap)	1%	4%	2%	2%	7%	0%	0%	3%	3%	5%	5%	3%	2%	4%
High Growth	1%	2%	2%	3%	5%	3%	2%	3%	0%	2%	3%	8%	7%	5%
High Quality	2%	4%	1%	1%	2%	2%	2%	4%	3%	3%	2%	8%	6%	1%
High Yield	1%	5%	2%	1%	0%	0%	1%	3%	3%	5%	6%	1%	1%	5%
High Momentum	4%	2%	2%	1%	2%	0%	6%	0%	4%	1%	4%	2%	1%	3%
High Volatility	2%	1%	2%	1%	3%	3%	3%	1%	5%	1%	2%	3%	6%	1%
Large Size	4%	12%	8%	4%	4%	6%	8%	2%	8%	2%	8%	2%	4%	4%
Anti-Value (Expensive)	3%	3%	3%	0%	4%	4%	6%	0%	8%	4%	10%	8%	9%	1%
Low Growth	0%	1%	7%	1%	7%	0%	0%	2%	5%	5%	1%	5%	1%	5%
Low Quality	2%	1%	2%	2%	1%	0%	1%	1%	3%	3%	9%	1%	2%	8%
Low Yield	2%	1%	4%	1%	7%	1%	2%	0%	4%	2%	9%	7%	7%	3%
Low Momentum	3%	8%	2%	2%	2%	0%	0%	8%	2%	1%	3%	8%	7%	2%
Low Volatility	3%	6%	1%	0%	3%	0%	1%	3%	3%	4%	3%	1%	3%	3%
Small Size	0%	0%	0%	0%	1%	1%	0%	2%	0%	1%	0%	1%	1%	0%

Source: Bloomberg, Barclays Research

European Factor Legs

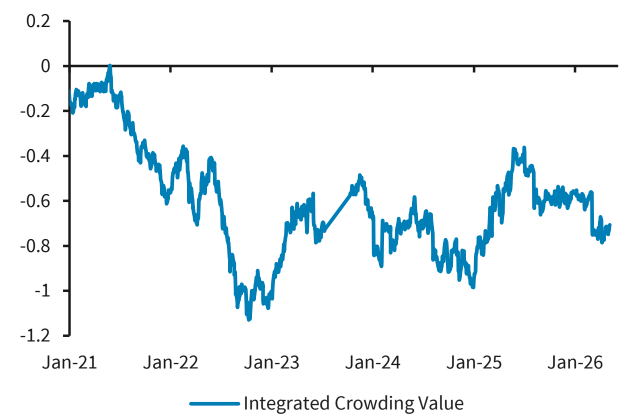
Barclays EU Value

FIGURE 69. **Barclays EU Value - Dynamic allocation**



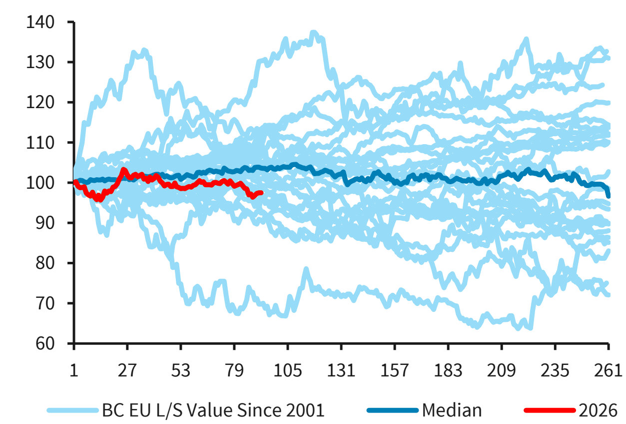
Source: Barclays Research

FIGURE 70. **Barclays EU Value - Crowding**



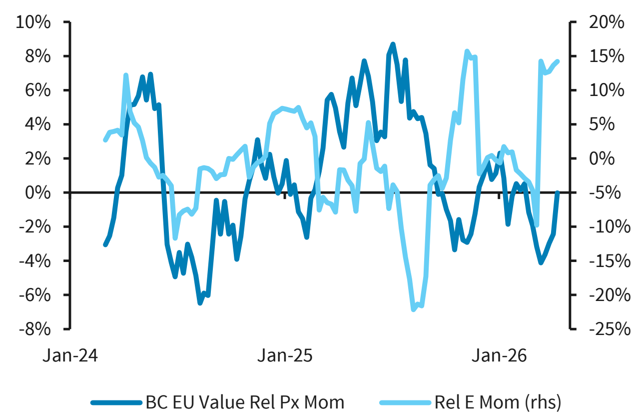
Source: MSCI, Barclays Research

FIGURE 71. **Barclays EU Value - Performance vs past**



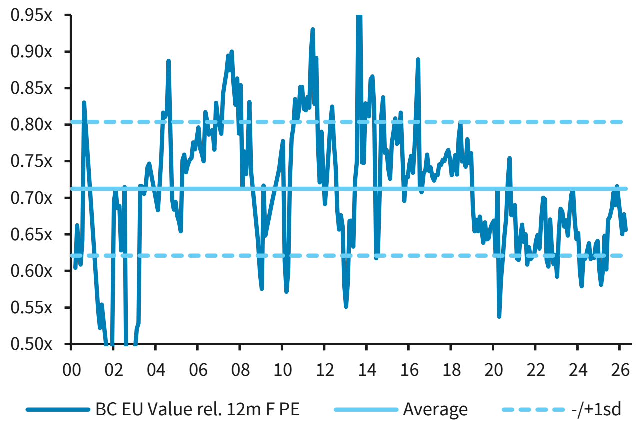
Source: Bloomberg, Barclays Research

FIGURE 72. **Barclays EU Value - Relative price momentum vs earnings momentum**



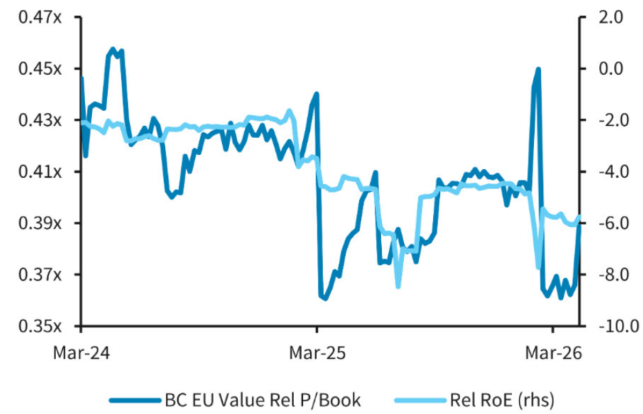
Source: Bloomberg, Barclays Research

FIGURE 73. Barclays EU Value - Relative 12m F PE



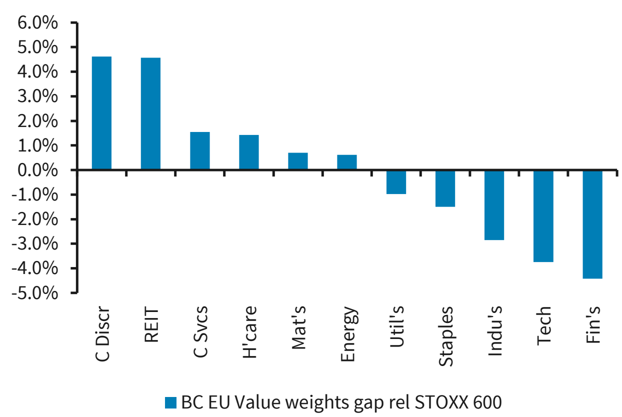
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 74. Barclays EU Value - Relative P/Book vs RoE



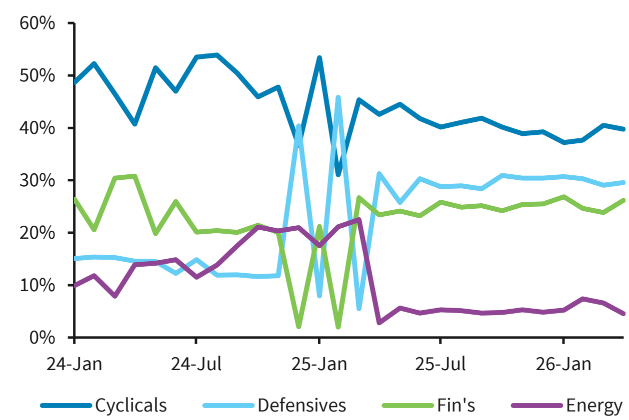
Source: Bloomberg, Barclays Research

FIGURE 75. Barclays EU Value - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

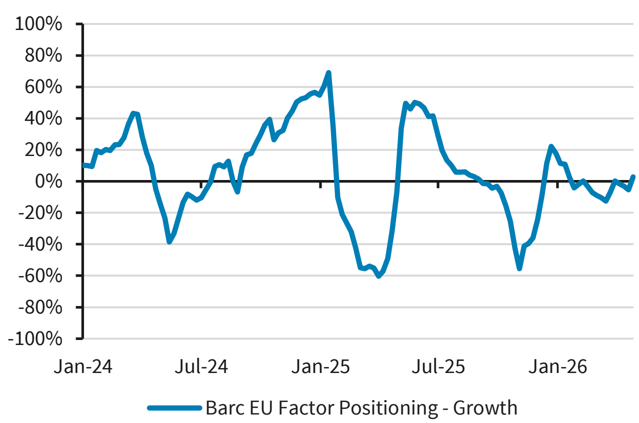
FIGURE 76. Barclays EU Value - Sector allocation



Source: Bloomberg, Barclays Research

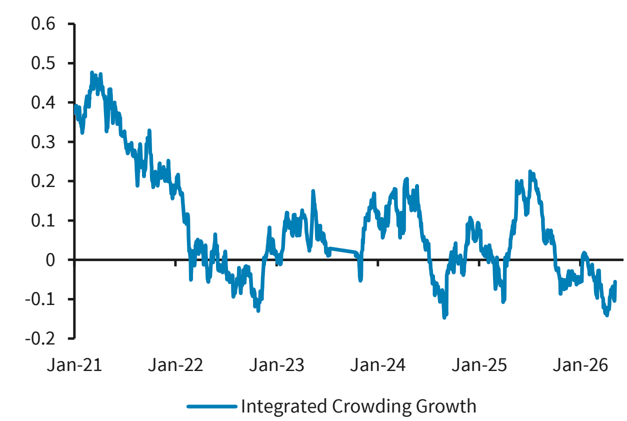
Barclays EU Growth

FIGURE 77. Barclays EU Growth - Dynamic allocation



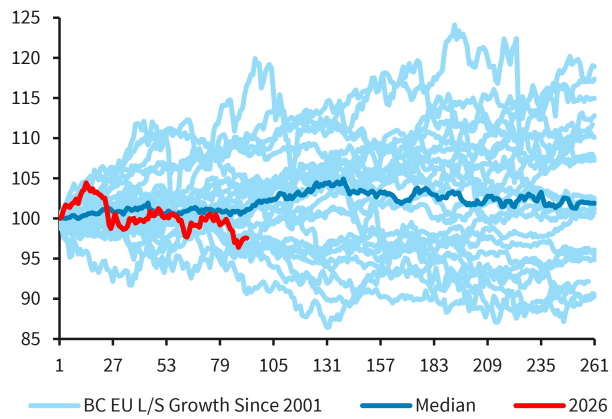
Source: Barclays Research

FIGURE 78. Barclays EU Growth – Crowding



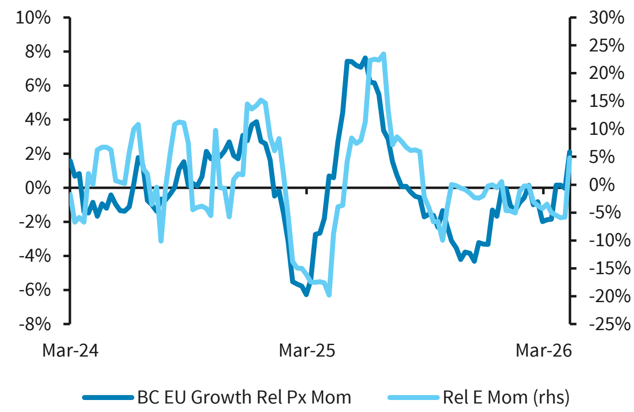
Source: MSCI, Barclays Research

FIGURE 79. Barclays EU Growth - Performance vs past



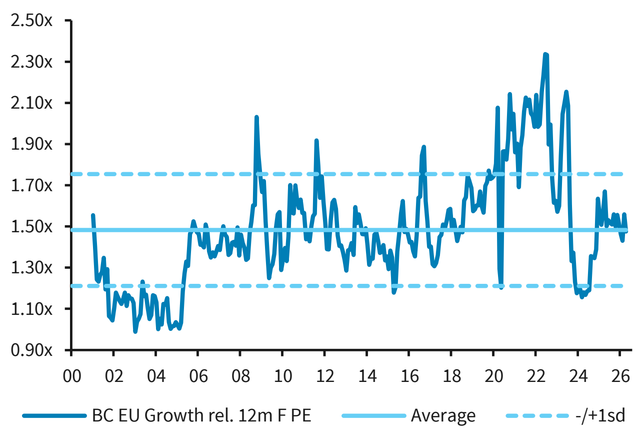
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 80. Barclays EU Growth - Relative price momentum vs earnings momentum



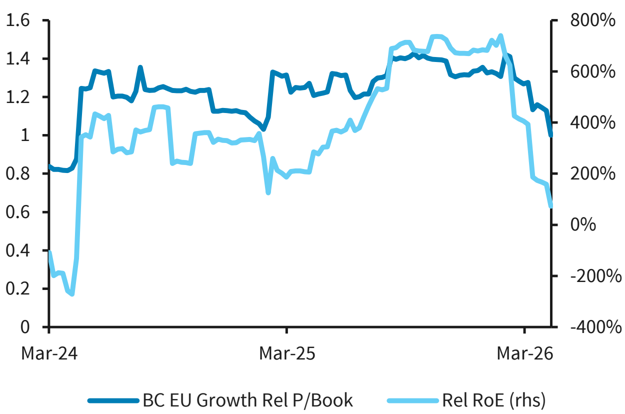
Source: Bloomberg, Barclays Research

FIGURE 81. Barclays EU Growth - Relative 12m F PE



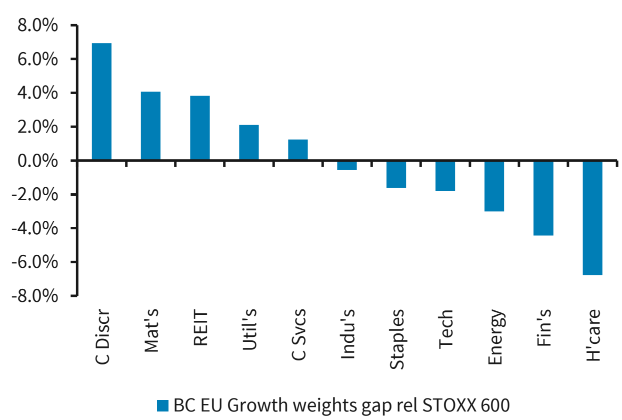
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 82. Barclays EU Growth - Relative P/Book vs RoE



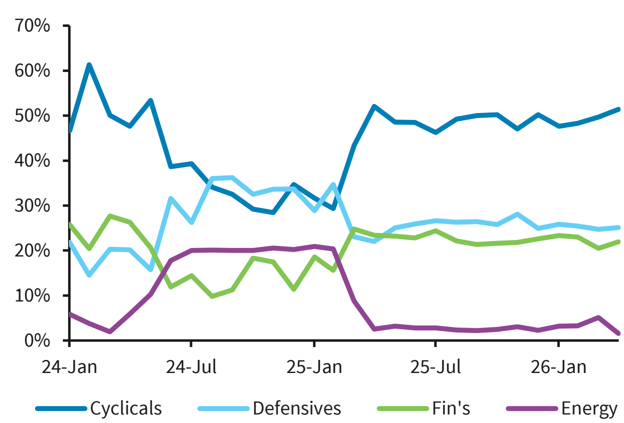
Source: Bloomberg, Barclays Research

FIGURE 83. Barclays EU Growth - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

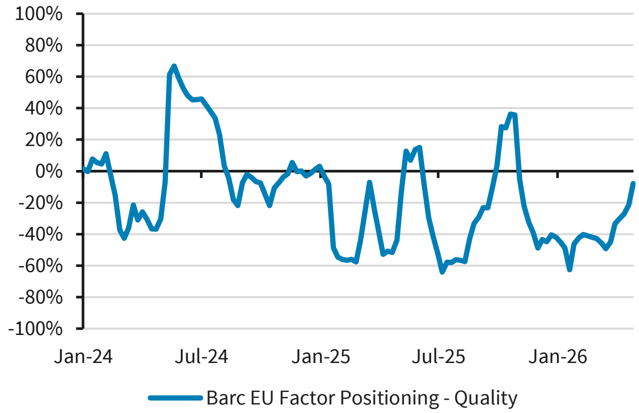
FIGURE 84. Barclays EU Growth - Sector allocation



Source: Bloomberg, Barclays Research

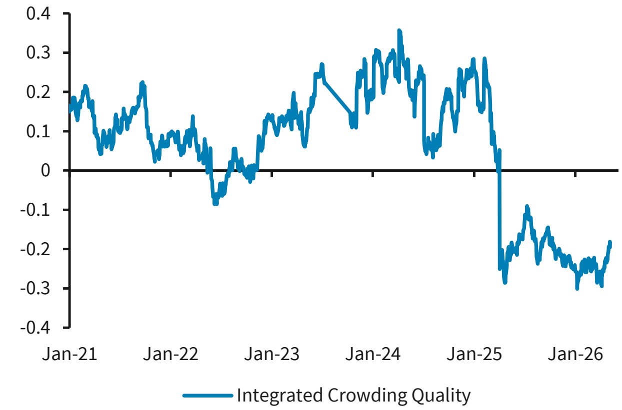
Barclays EU Quality

FIGURE 85. Barclays EU Quality - Dynamic allocation



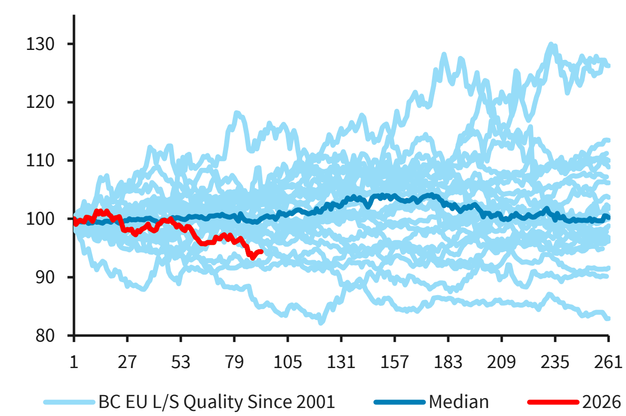
Source: Barclays Research

FIGURE 86. Barclays EU Quality – Crowding



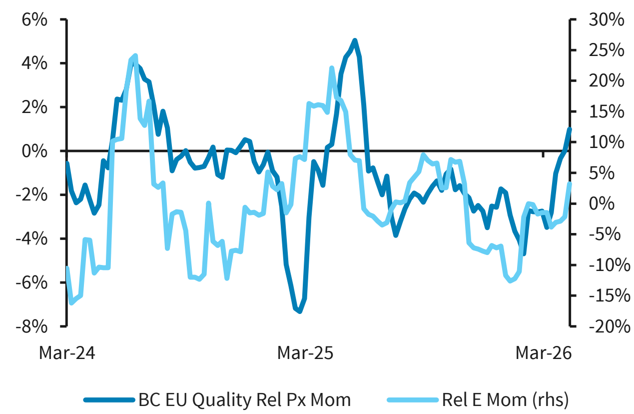
Source: MSCI, Barclays Research

FIGURE 87. Barclays EU Quality - Performance vs past



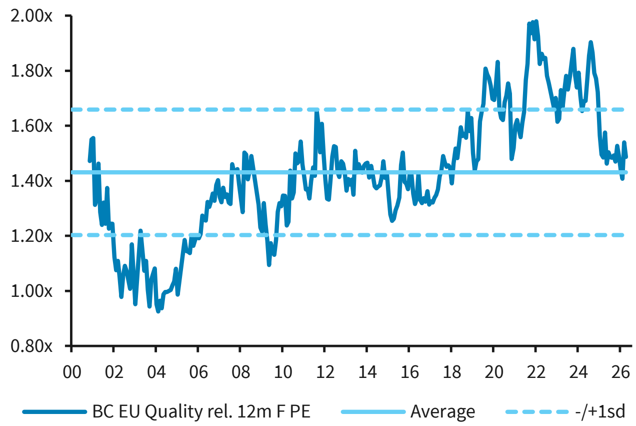
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 88. Barclays EU Quality - Relative price momentum vs earnings momentum



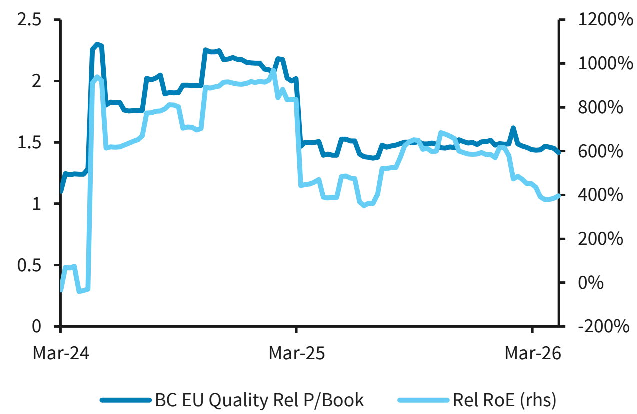
Source: Bloomberg, Barclays Research

FIGURE 89. Barclays EU Quality - Relative 12m F PE



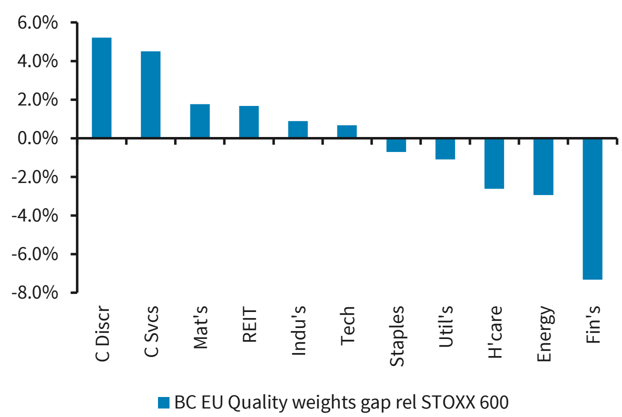
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 90. Barclays EU Quality - Relative P/Book vs RoE



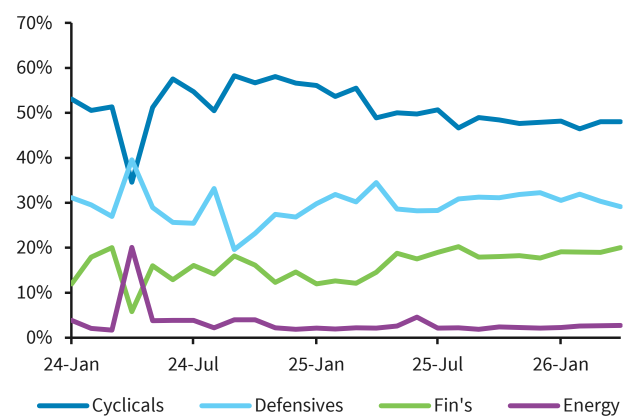
Source: Bloomberg, Barclays Research

FIGURE 91. Barclays EU Quality - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

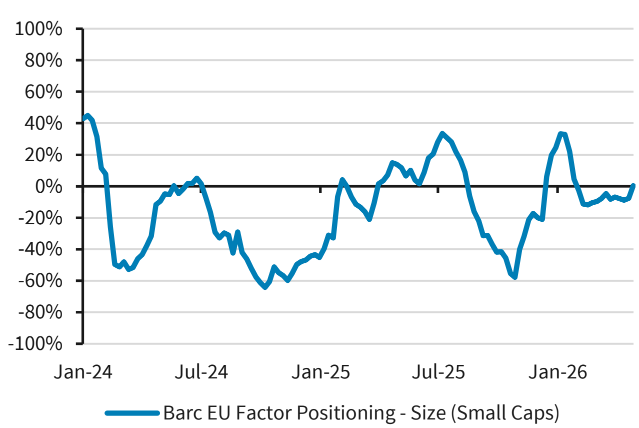
FIGURE 92. Barclays EU Quality - Sector allocation



Source: Bloomberg, Barclays Research

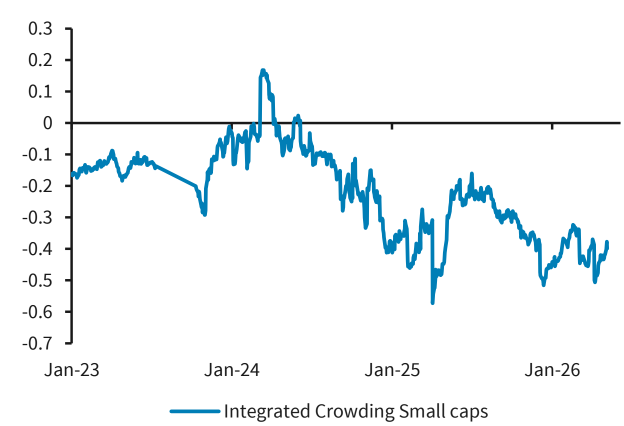
Barclays EU Size (Small Caps)

FIGURE 93. Barclays EU Small Caps - Dynamic allocation



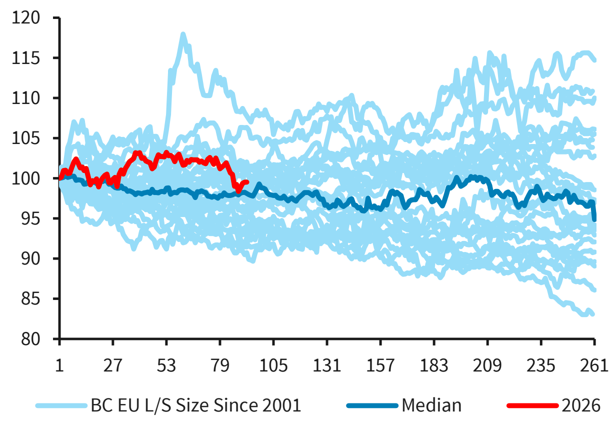
Source: Barclays Research

FIGURE 94. Barclays EU Small Caps – Crowding



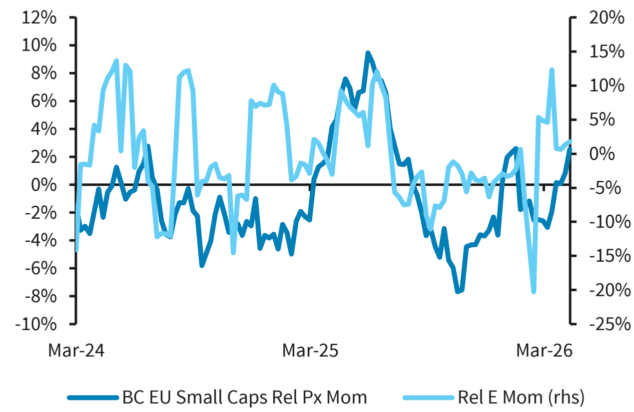
Source: MSCI, Barclays Research

FIGURE 95. Barclays EU Size - Performance vs past



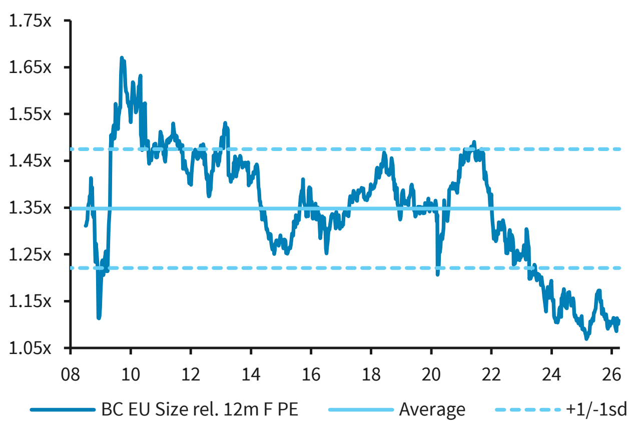
Size = Long Large Caps/Short Small Caps
Source: Bloomberg, Barclays Research

FIGURE 96. Barclays EU Small Caps - Relative price momentum vs earnings momentum



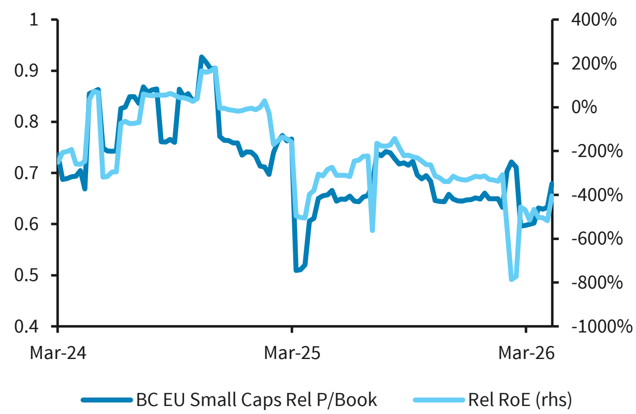
Source: Bloomberg, Barclays Research

FIGURE 97. Barclays EU Small Caps - Relative 12m F PE



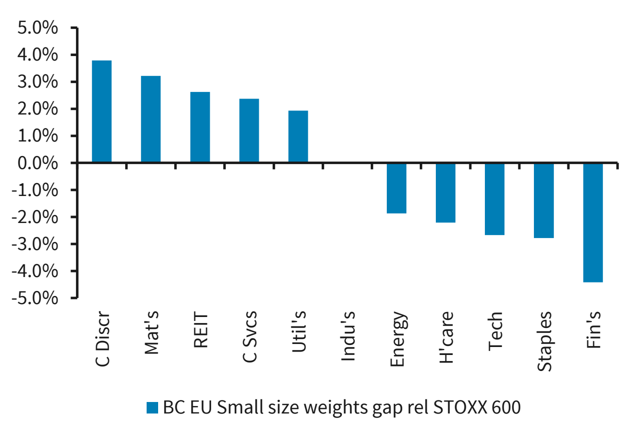
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 98. Barclays EU Small Caps - Relative P/Book vs RoE



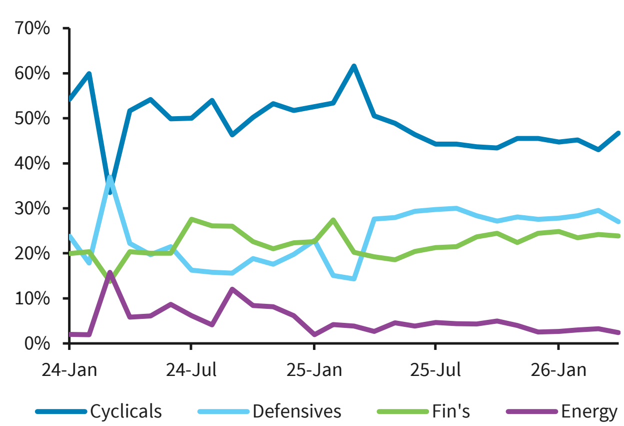
Source: Bloomberg, Barclays Research

FIGURE 99. Barclays EU Small Caps - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

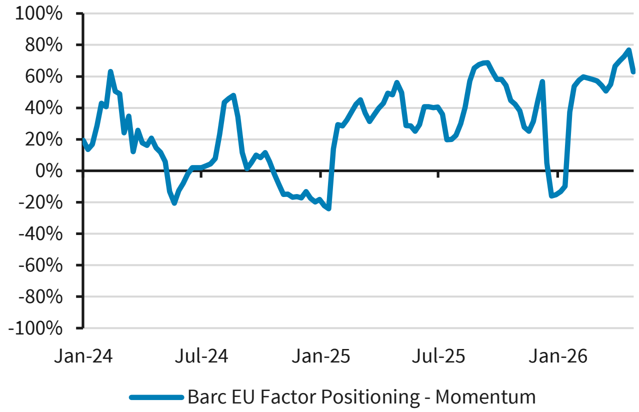
FIGURE 100. Barclays EU Small Caps - Sector allocation



Source: Bloomberg, Barclays Research

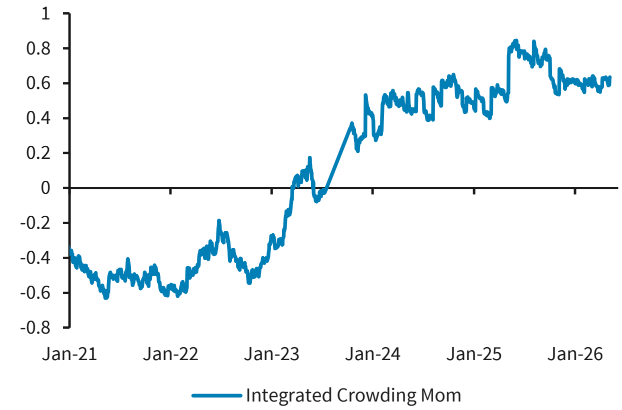
Barclays EU Momentum

FIGURE 101. **Barclays EU Momentum - Dynamic allocation**



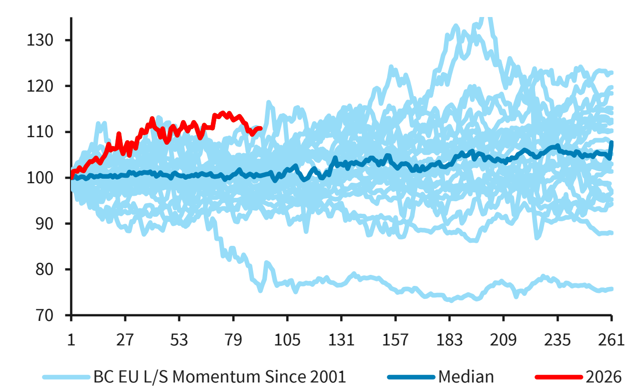
Source: Barclays Research

FIGURE 102. **Barclays EU Momentum – Crowding**



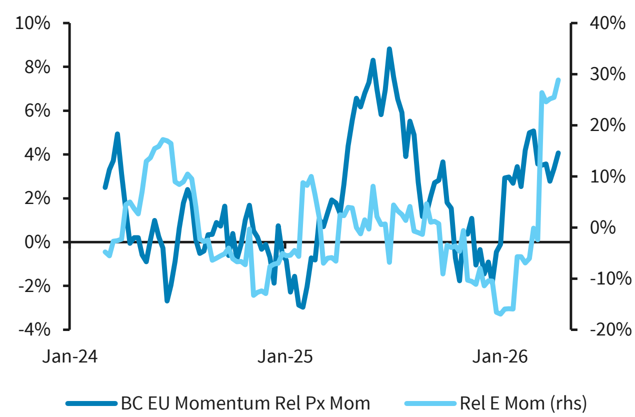
Source: MSCI, Barclays Research

FIGURE 103. **Barclays EU Momentum - Performance vs past**



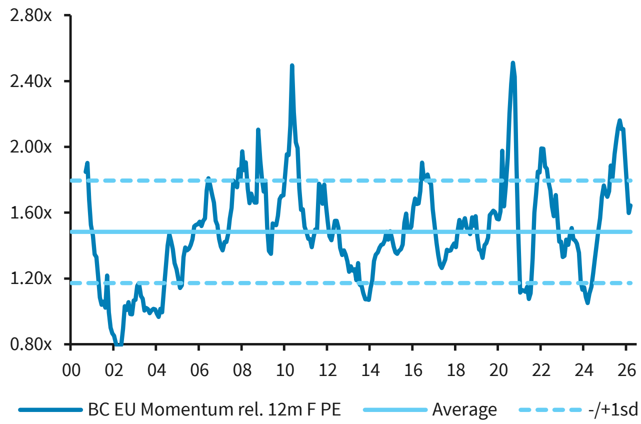
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 104. **Barclays EU Momentum - Relative price momentum vs earnings momentum**



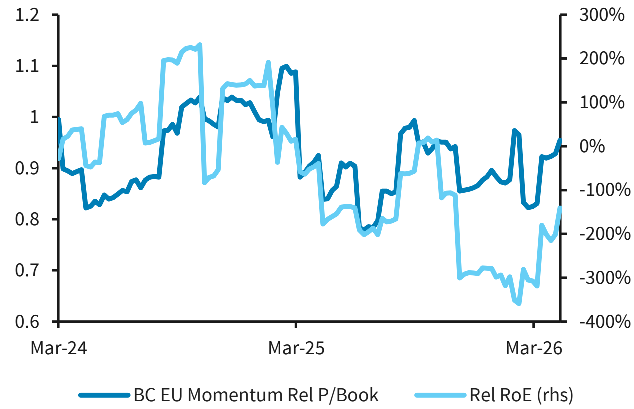
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 105. Barclays EU Momentum - Relative 12m F PE



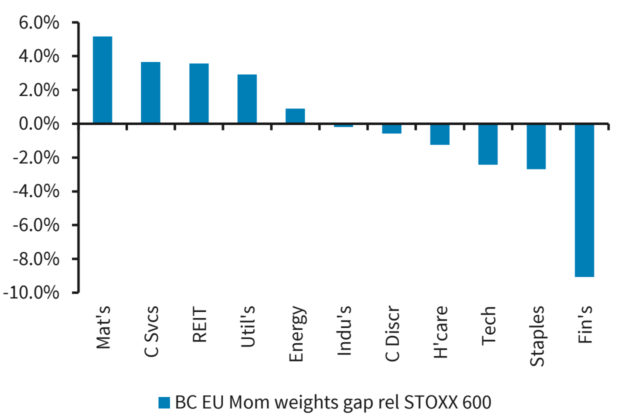
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 106. Barclays EU Momentum - Relative P/Book vs RoE



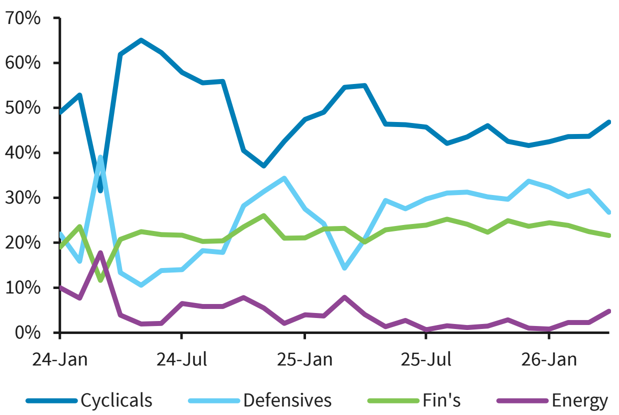
Source: Bloomberg, Barclays Research

FIGURE 107. Barclays EU Momentum - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

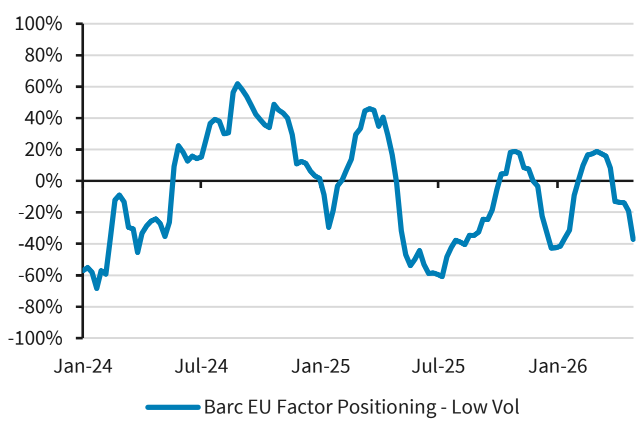
FIGURE 108. Barclays EU Momentum - Sector allocation



Source: Bloomberg, Barclays Research

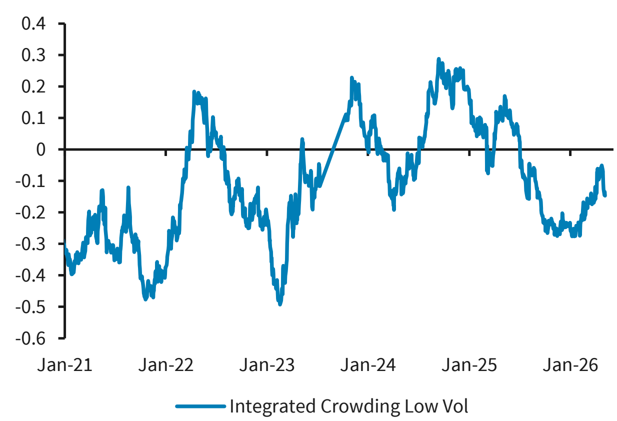
Barclays EU Low Volatility

FIGURE 109. Barclays EU Low Vol - Dynamic allocation



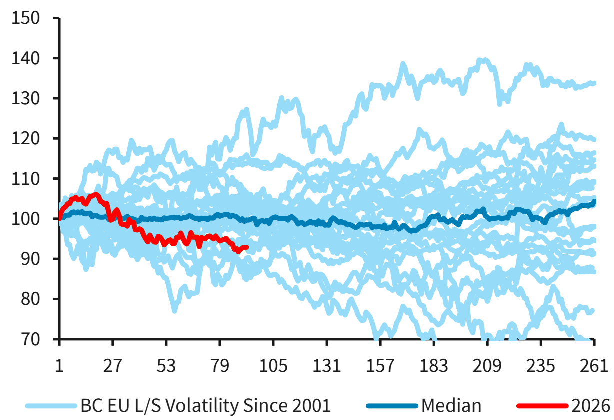
Source: Barclays Research

FIGURE 110. Barclays EU Low Vol – Crowding



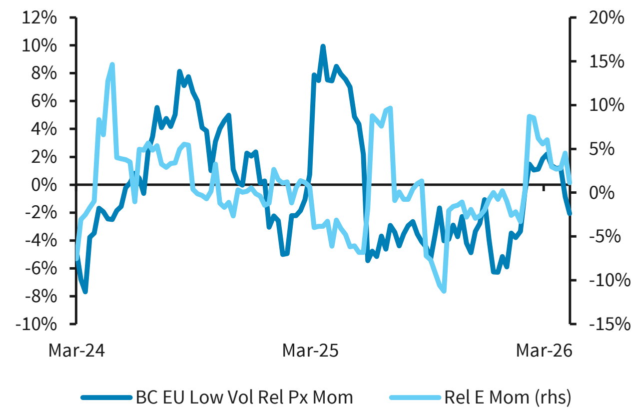
Source: MSCI, Barclays Research

FIGURE 111. Barclays EU Low Vol - Performance vs past



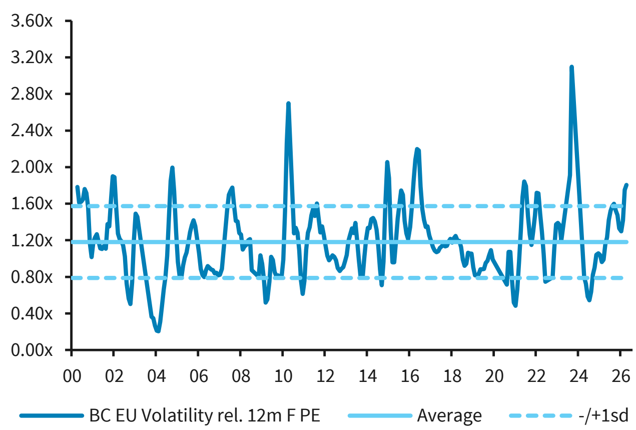
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 112. Barclays EU Low Vol - Relative price momentum vs earnings momentum



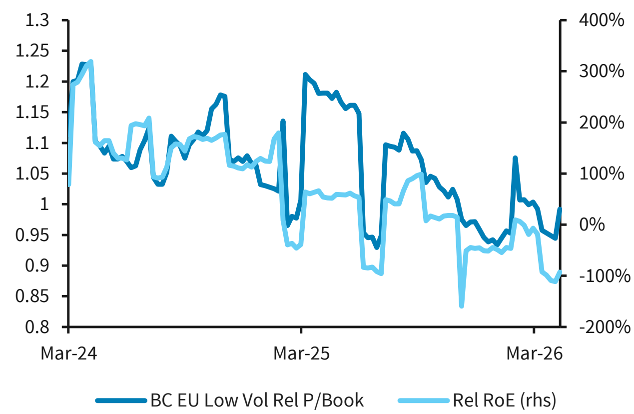
Source: Bloomberg, Barclays Research

FIGURE 113. Barclays EU Low Vol - Relative 12m F PE



Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 114. Barclays EU Low Vol - Relative P/Book vs RoE



Source: Bloomberg, Barclays Research

FIGURE 115. Barclays EU Low Vol - Sector allocation vs STOXX 600

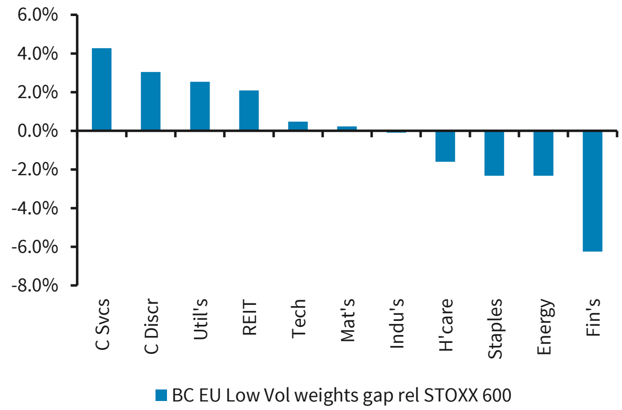


FIGURE 116. Barclays EU Low Vol - Sector allocation

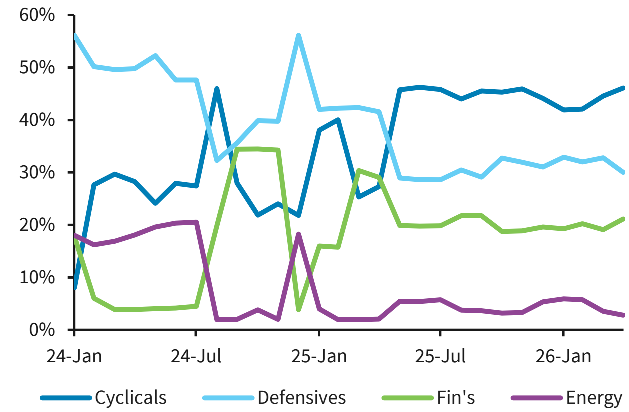
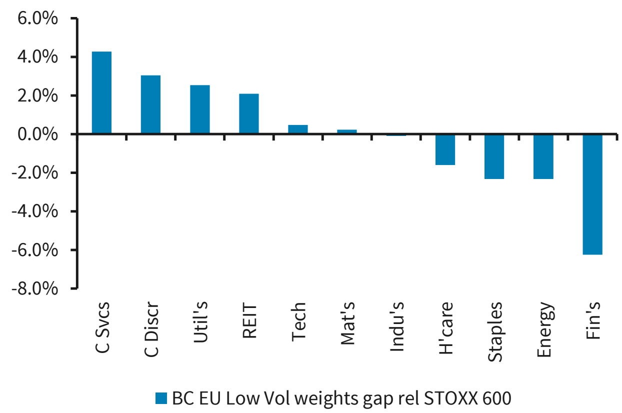
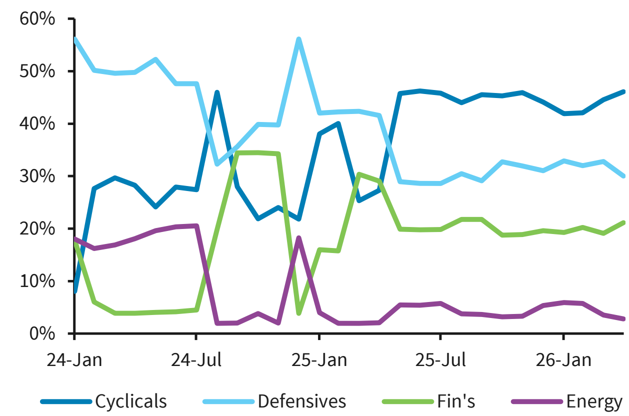


FIGURE 117. Barclays EU Low Vol - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

FIGURE 118. Barclays EU Low Vol - Sector allocation



Source: Bloomberg, Barclays Research

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No changes to GICS Level 1 for Energy, Consumer Staples, Industrials, Real Estate, Healthcare, Utilities, Materials, and Financials.

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